CA INTERMEDIATE · PAPER 4 · COST AND MANAGEMENT ACCOUNTING

Where the last five Cost papers came from

Every question of Sep 2026, May 2026, Jan 2026, Sep 2025 and May 2025 (descriptive and MCQ) traced to ICAI's study material (SM), Revision Test Papers (RTP), Mock / Model Test Papers (MTP) and earlier question papers (PYQ), with the exact reference and how much was changed.

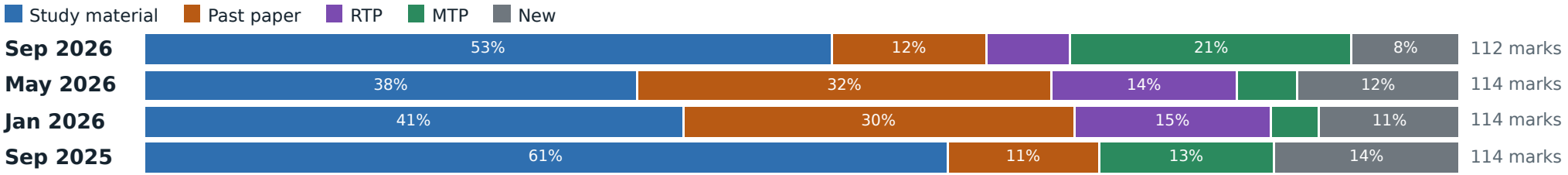
50%	18%	20%	12%	60%
from the study material	repeat an earlier paper	from RTPs and MTPs	completely new	familiar content (weighted by similarity)

Share of marks, all five papers together (568 marks: every question set, including the optional ones; OR alternatives not counted).

What students should study

1. **ICAI study material first.** Half the marks come from it: illustrations, Test Your Knowledge problems, its case scenarios, and its theory paragraphs nearly word for word.
2. **Then past question papers, back to 2018.** 18% of marks reuse an earlier paper, often from the old scheme (May 2019, Dec 2021, Nov 2022) and often with new figures.
3. **MTPs and ICAI's Model Test Papers 1–8.** 11% of marks; whole MCQ case scenarios were rebuilt from them (May 2025, Sep 2026).
4. **RTPs.** 9% of marks, mostly older RTPs (May 2022, Nov 2023), not just the latest one.
5. **Expect about 1 question in 8 to be new.** New questions are standard topics with fresh data (product mix, cost sheet, process accounts, EOQ), so concept practice carries them.

Main source of each paper





Attempt-wise summary: marks by main source

ATTEMPT	STUDY MATERIAL	PAST PAPER	RTP	MTP	NEW	FAMILIAR	MARKS
Sep 2026	59 (53%)	13 (12%)	7 (6%)	24 (21%)	9 (8%)	62%	112
May 2026	43 (38%)	36 (32%)	16 (14%)	5 (4%)	14 (12%)	62%	114
Jan 2026	47 (41%)	34 (30%)	17 (15%)	4 (4%)	12 (11%)	59%	114
Sep 2025	70 (61%)	13 (11%)	0 (0%)	15 (13%)	16 (14%)	60%	114
May 2025	66 (58%)	4 (4%)	10 (9%)	17 (15%)	17 (15%)	56%	114
All five	**285 (50%)**	**100 (18%)**	**50 (9%)**	**65 (11%)**	**68 (12%)**	**60%**	**568**

How close the questions were

Same ≈ 100% (same data) · **Modified** 60–90% (same problem, figures changed) · **Adapted** 30–60% (same type built on a source) · **New** under 30%.

ATTEMPT	SAME	MODIFIED	ADAPTED	NEW
Sep 2026	9 (8%)	69 (62%)	25 (22%)	9 (8%)
May 2026	14 (12%)	50 (44%)	36 (32%)	14 (12%)
Jan 2026	11 (10%)	60 (53%)	31 (27%)	12 (11%)
Sep 2025	17 (15%)	50 (44%)	31 (27%)	16 (14%)
May 2025	12 (11%)	48 (42%)	37 (32%)	17 (15%)
All five	**63 (11%)**	**277 (49%)**	**160 (28%)**	**68 (12%)**

Which resources would have prepared a student closely

Marks of questions that appear at 60% similarity or more in each resource (a question can appear in several).

ATTEMPT	STUDY MATERIAL	PAST PAPER	RTP	MTP

Sep 2026	51 (46%)	20 (18%)	14 (12%)	28 (25%)
May 2026	62 (54%)	37 (32%)	19 (17%)	10 (9%)
Jan 2026	35 (31%)	23 (20%)	17 (15%)	6 (5%)
Sep 2025	67 (59%)	7 (6%)	0 (0%)	10 (9%)
May 2025	39 (34%)	22 (19%)	3 (3%)	35 (31%)
All five	**254 (45%)**	**109 (19%)**	**53 (9%)**	**89 (16%)**

SUMMARY

How far back to go: resources behind each paper

For each attempt: the study material, then the oldest RTP, MTP and past paper that a question of that attempt came from, and the share of the paper's marks each resource prepared. A question can draw on several resources, so the shares add up to more than 100%.

ATTEMPT	STUDY MATERIAL	RTPS	MTPS AND MODEL TEST PAPERS	PAST QUESTION PAPERS	NEW: NO RESOURCE
Sep 2026	Full SM · 79%	May 2022 → Sep 2024 · 12% May 2022, Nov 2023, Sep 2024	Nov 2018 → Sep 2025 · 29% + Model Test Papers 1, 4, 5, 7 · 16%	Nov 2019 → Jan 2026 · 31%	9 marks · 8%
May 2026	Full SM + Case Scenario Booklet · 92%	Nov 2022 → Sep 2024 · 26% Nov 2022, May 2023, Nov 2023, Sep 2024	Nov 2018 → May 2025 · 13% + Model Test Paper 8 · 4%	May 2019 → Jan 2026 · 46%	14 marks · 12%
Jan 2026	Full SM · 66%	Nov 2020 → Jan 2025 · 21% Nov 2020, May 2022, Nov 2022, Jan 2025	Nov 2018 · 3% + Model Test Papers 1, 2, 5, 6 · 7%	Nov 2018 → Sep 2024 · 39%	12 marks · 11%
Sep 2025	Full SM · 82%	May 2024 → Sep 2024 · 17%	May 2023 → Sep 2025 · 13% + Model Test Papers 3, 4, 7 · 26%	Nov 2018 → Jan 2025 · 30%	16 marks · 14%
May 2025	Full SM · 73%	May 2023 → Jan 2025 · 15%	Model Test Papers 1, 2, 7, 8 · 30%	Jan 2021 → Sep 2024 · 26%	17 marks · 15%

To cover all five	**Full SM (all 15 chapters: illustrations, Test Your Knowledge, MCQs, case scenarios, theory) + Case Scenario Booklet**	**Every RTP from Nov 2020**	**MTPs from Nov 2018 + ICAI Model Test Papers 1–8**	**Every paper from Nov 2018**	**8–15% each time**

- **No set of resources reaches 100%.** 8–15% of each paper was new: standard topics with fresh data. Strong concepts, not more papers, cover that part.
- **“From Nov 2018” and “from Nov 2020” are where the available files start.** ICAI no longer hosts older RTPs (2018–2021), so questions may also come from earlier material. ICAI’s newer MTPs (May 2024–Sep 2026) are behind the student login and could not be checked.
- Arrows show the oldest and newest attempt used; the attempts in small print are the exact ones questions came from.

QUESTION BY QUESTION

Sep 2026

112 marks · Study material 53% · Past paper 12% · RTP 6% · MTP 21% · New 8% · familiar content 62%

QUESTION	MARKS	TOPIC / CHAPTER	SOURCE	SIMILARITY	REFERENCE	WHAT IS THE SAME / CHANGED
Q1(a) A company manufactures two products - DSP and EM. It has adopted marginal costing for managerial decision-making and has...	7	Product mix with product-specific fixed costs and combined capacity limit 14 Marginal Costing	New	New · 25%	SM · SM Ch 14 Marginal Costing, Illustration 10 (choice among products X, Y, Z with demand and capacity limits) · 25%	No matching problem in SM/RTP/MTP/PYQ; combines demand caps, an overall 770-unit capacity and fixed costs avoidable per product - only the general limiting-factor/product-choice idea of SM Illustration 10 is shared
Q1(b) Ultramagic Ltd. manufactures a product TM for tourist recreational purposes. As per the estimates provided by the touris...	4	EOQ and annual ordering cost from market share of demand 2 Material Cost	Past paper	Modified · 60%	PYQ · PYQ Jan 2026 Case Scenario II (Spice Guard Ltd., MCQs 6-10) · 60% SM · SM Ch 2 Material Cost, Illustration 4 (EOQ with storage, interest and obsolescence rates) · 50%	Same set-up as Jan 2026 Case II (annual demand = market demand x market share; carrying cost = storage + interest + obsolescence %); single material, new figures, asks EOQ and ordering cost
Q1(c) Textiles Manufacturing Co. has two production departments: Fibers (FIB) and Fabrics (FAB) and two service departments wh...	3	Reciprocal service apportionment - simultaneous equation method 4 Overheads - Absorption Costing Method	Study material	Modified · 65%	SM · SM Ch 4 Overheads, Illustration 3 (Boiler house / Pump room, simultaneous equation method) · 65% PYQ · PYQ Sep 2025 Q2(b) (S1, S2 simultaneous equation method) · 50%	Same structure as Illustration 3 (two service depts serving each other and two production depts, % usage table); new figures, only total FC cost asked
Q2(a) Vivida Ltd. manufactures two products Ace eyeglasses & Sharp 1 eyeglasses using various types of materials and one grade...	7	Wages budget with productivity, down-time and overtime 15 Budgets and Budgetary Control	MTP	Modified · 70%	MTP · MTP Nov 2018 Series II Q5(a) (C Ltd.) · 70% SM · SM Ch 15 Budgets, Test Your Knowledge Q8 (Concorde Ltd.) · 70% MTP · Model Test Paper 4 Q5(a) (Bicon Ltd.) · 70% + 1 more	Same problem structure (productivity ratio, down-time %, overtime premium beyond weekly hours, four 5-day weeks, closing stock in days of sales); materials part dropped, figures changed (110 workers, 75%, 15%, 60% premium over 45 hrs)

Q2(b) Arrow Precision Components Ltd. is a manufacturer of high-quality aerospace and defence parts. The following are the det…	7	Job cost sheet for special order using previous-year overhead rates 9 Job Costing	RTP	Modified · 70%	RTP · RTP May 2022 Q8 (KJ Motors Ltd.) · 70% RTP · RTP Nov 2023 Q7 (SM Motors Ltd.) · 70%	Same structure (stock/purchase/labour/FOH/AOH data, FOH as % of labour and AOH as % of factory cost, delivery cost); new figures, material as 25% of last year consumption, extra 10% safety margin, total cost instead of quoted price
Q3(a) During the finalisation of accounts for the period ended 31st August, 2026, the Management of M/s. ZPT Ltd. observed tha…	7	Reconciliation of cost and financial profit (list of differences) 7 Cost Accounting Systems	Past paper	Modified · 60%	PYQ · PYQ May 2024 Q3(b) (S.K. Manufacturing Co. Ltd.) · 60% PYQ · PYQ Sep 2024 Q1(b) (XYZ Ltd.) · 45%	Same format as May 2024 Q3(b): profit as per cost accounts plus list of items (FOH under-absorbed, admin over-absorbed, interest, notional rent, donations, depreciation difference, income tax); new figures, some items changed (profit on sale of investments, bank deposit interest)
Q3(b) BH Transit Services Ltd. has been awarded a contract to operate a 72-kilometre intercity route using 8 deluxe buses duri…	7	Bus operating cost and one-way fare per passenger 12 Service Costing	MTP	Modified · 70%	MTP · MTP Nov 2022 Series II Q5(a) (Royal Transport Company) · 70%	Same cost list (garage rent, repairs per bus, salaries, road tax per quarter, office expenses, diesel per litre at 6 km/l, depreciation+insurance % of cost, oils) and 1/3 profit on takings; new figures, 2 buses idle one month, fare per passenger (one way) instead of per passenger-km, plus km/passengers/diesel sub-parts
Q4(a) XYZ Ltd. employs workforce classified into Skilled, Semi-Skilled and Unskilled categories for its manufacture of precisi…	9	Labour mix, efficiency (sub-efficiency), yield and rate variances with idle time 13 Standard Costing	Study material	Modified · 70%	SM · SM Ch 13 Standard Costing, Illustration 7 (NPX Ltd.) · 70%	Same structure as Illustration 7 (skilled/semi-skilled/unskilled standard hours 2/3/5 at budgeted rates, actual hours paid with abnormal idle hours); standard for 2 units, rates and actual figures changed, asks category-wise mix/efficiency/yield/rate

Q4(b) New Pharma Chemicals Ltd. manufactures pharmaceutical-grade solvents for the drug formulation industry. Production passe...	5	FIFO process costing - input quantity, normal/abnormal loss, equivalent units 10 Process & Operation Costing	**Study material**	Modified · 70%	SM · SM Ch 10 Process & Operation Costing, Case Scenario 1 (Arnav Ltd.) · 70% MTP · Model Test Paper 1, Part I Case Scenario (Arnav Ltd., MCQs i-v) · 70% SM · Case Scenario Booklet, Case 36 (Arnav Ltd.) · 70%	Same scenario as the Arnav Ltd. fire-loss case (opening/closing WIP with labour/OH completion, normal loss 10% of input, total losses, output transferred, FIFO); fire changed to flood, all quantities/percentages changed, MCQs turned into descriptive parts (input, NL/AL, EU)
Q5(a) The following data is given in the books of Vikram Industries: Particulars Amount (`) Opening Inventories: - Raw materia...	5	Cost sheet figures - prime cost, cost of production, COGS (FIFO), cost of sales, sales 6 Cost Sheet	**Study material**	Modified · 75%	SM · SM Ch 6 Cost Sheet, Test Your Knowledge Practical Problem Q2 (Aditya Industries) · 75%	Same data layout and items as Aditya Industries (opening/closing RM, WIP, FG units; RM purchase, wages, utilities, office expenses, travelling allowance, selling expenses, machine hours x rate, units sold/produced, profit % on sales); figures changed, GST item dropped, only key cost-sheet figures asked
Q5(b) A manufacturing company operates three production departments and it has established a policy to allocate factory overhe...	7	Blanket vs departmental overhead rates for job pricing; under/over recovery 4 Overheads - Absorption Costing Method	**Study material**	Modified · 60%	SM · SM Ch 4 Overheads, Test Your Knowledge Practical Problem Q9 (Job No. CW 7083) · 60% MTP · Model Test Paper 5 Q4 (Allurgy Ltd., Job No. 157) · 55%	Same structure (three production departments, budget vs actual FOH/labour/machine hours, single blanket rate policy, representative job, 30% margin, recommend departmental rates, under/over recovery); blanket rate on labour hours instead of % of wages, new figures, only Finishing department under/over recovery
Q6(a) NS Ltd. has listed some of the costs incurred during the current period. I II III (i) Salary to office attendants (ii) P...	5	Classification of cost items by function 1 Introduction to Cost and Management Accounting	**Study material**	Adapted · 50%	SM · SM Ch 3 Employee Cost and Direct Expenses, Illustration 16 (Aditya Ltd.) · 50%	Items (i)-(v) (office attendants salary, product blueprint cost, machinery hire charges, marketing manager salary, one-time software licence for computerised graphics) taken from Illustration 16; requirement changed from computing direct expenses per job to functional classification, and wages, overtime, special packing, advertisement, royalty added

Q6(b) (i) How would you account for the amount realized on sale of molasses, a by-product in a sugar manufacturing process? (2...	5	Treatment of by-product realisation; NRV method for joint products and by-products 11 Joint Products and By Products	**Study material**	Same · 90%	SM · SM Ch 11 Joint Products and By Products, Methods of apportionment of joint cost to by-products - (i) Net Realisable Value method (molasses example) and joint-cost NRV method · 90% MTP · MTP Nov 2018 Series I Q6(d) · 75% RTP · RTP Sep 2024 Q19(a) · 75% + 1 more	All three parts answered directly from the SM text: molasses realisation reduces cost of sugar, NRV = sales value less further processing cost; framed as short case-style questions
Q6(c) State how you would treat the following items in the Cost Sheet: (i) Wages paid to idle workers during a sudden governme...	4	Treatment of abnormal (lockdown) wages, subsidy, interest and GST with ITC in cost sheet 6 Cost Sheet	**Study material**	Same · 85%	SM · SM Ch 6 Cost Sheet, para 4.2 Treatment of various items of Cost in Cost Sheet/Statement (abnormal costs incl. sudden lockdown, subsidy/grant, interest and finance costs); SM Ch 2 Material Cost, treatment of items associated with purchase of materials (GST with input credit) · 85% MTP · MTP May 2025 Series II Q3(b) · 75%	Items (i)-(iii) match SM Ch 6 para 4.2 (also asked in MTP May 2025 Series II Q3(b)); GST with ITC from the SM Ch 2 table; items put as short examples. Marks not printed in extracted text - 4 marks assumed from the OR alternative
Q6(c) OR (alternative) What are the main distinctions between a Bill of Materials and a Material Requisition Note in terms of their contents an...	4	Bill of Materials vs Material Requisition Note 2 Material Cost	**Study material**	Same · 100%	SM · SM Ch 2 Material Cost, Difference between Bill of Materials and Material Requisition Note (under 3.1 Bill of Materials) · 100% MTP · MTP May 2025 Series II Q6(b) · 100%	Same theory question; answer is the SM comparison table, also asked verbatim in MTP May 2025 Series II Q6(b)
MCQ 1 What is the cost of customer visits incurred on customer category 'Distributors'? (A) ` 2,61,400 (B) ` 2,14,600 (C) ` 2,...	2	Customer profitability (ABC) - customer visit cost for a customer category 5 Activity Based Costing	**Study material**	Adapted · 55%	SM · SM Ch 5 Activity Based Costing, Case Scenario 1 (A Limited, customer profitability MCQs i-v) · 55% SM · Case Scenario Booklet, Case 60 (A Limited, customer profitability) · 55% SM · SM Ch 5 Activity Based Costing, Test Your Knowledge Practical Problem Q4 (Alpha Limited, five customers) · 50% + 2 more	Same MCQ as SM Case Scenario 1(i) (customer-visit cost of one customer); here the visit rate must first be derived from the pooled cost (19,20,000/300 visits) and customers are categories (distributors/supermarkets/online)

MCQ 2 What is the cost of transport for 'Online' customer category? (A) ` 13,69,600 (B) ` 13,74,400 (C) ` 13,55,600 (D) ` 13,8...	2	Customer profitability (ABC) - transport cost per kilometre for a category 5 Activity Based Costing	Study material	Adapted · 55%	SM · SM Ch 5 Activity Based Costing, Case Scenario 1 (A Limited, customer profitability MCQs i-v) · 55% SM · Case Scenario Booklet, Case 60 (A Limited, customer profitability) · 55% SM · SM Ch 5 Activity Based Costing, Test Your Knowledge Practical Problem Q4 (Alpha Limited, five customers) · 50% + 2 more	Delivery-km cost as in SM Case Scenario 1 / TYK Q4, but rate derived from pooled transport cost / total km; new data
MCQ 3 What is the cost of activities (tabulated in Table I) as a percentage of the sales revenue net of discount for 'Supermar...	2	Customer profitability (ABC) - activity cost as % of net revenue 5 Activity Based Costing	Study material	Adapted · 55%	SM · SM Ch 5 Activity Based Costing, Case Scenario 1 (A Limited, customer profitability MCQs i-v) · 55% SM · Case Scenario Booklet, Case 60 (A Limited, customer profitability) · 55% SM · SM Ch 5 Activity Based Costing, Test Your Knowledge Practical Problem Q4 (Alpha Limited, five customers) · 50% + 2 more	Ratio of operating (activity) cost to revenue as in SM TYK Q2 (RST Ltd.) combined with listed price less discount from Case Scenario 1; new data
MCQ 4 What is the total customer-level operating cost of all activities for 'Distributors' category? (A) ` 32,65,000 (B) ` 31,...	2	Customer profitability (ABC) - total customer-level operating cost 5 Activity Based Costing	Study material	Adapted · 55%	SM · SM Ch 5 Activity Based Costing, Case Scenario 1 (A Limited, customer profitability MCQs i-v) · 55% SM · Case Scenario Booklet, Case 60 (A Limited, customer profitability) · 55% SM · SM Ch 5 Activity Based Costing, Test Your Knowledge Practical Problem Q4 (Alpha Limited, five customers) · 50% + 2 more	Total customer-level operating activity cost as in SM Case Scenario 1 working note; rates from pooled costs, new data

MCQ 5 What is the customer level operating income for 'Online' Category? (A) ` 8,64,000 (B) ` 9,12,000 (C) ` 12,25,000 (D) ` 1...	2	Customer profitability (ABC) - customer-level operating income 5 Activity Based Costing	Study material	Adapted · 55%	SM · SM Ch 5 Activity Based Costing, Case Scenario 1 (A Limited, customer profitability MCQs i-v) · 55% SM · Case Scenario Booklet, Case 60 (A Limited, customer profitability) · 55% SM · SM Ch 5 Activity Based Costing, Test Your Knowledge Practical Problem Q4 (Alpha Limited, five customers) · 50% + 2 more	Customer-level operating income (revenue at list price less discount, COGS and activity costs) as in SM Case Scenario 1(iv)/TYK Q4; new data
MCQ 6 How many containers of KD will be produced in the quarter according to the production budget? (A) 190 (B) 218 (C) 180 (D...	2	Production budget (units) for a quarter 15 Budgets and Budgetary Control	MTP	Adapted · 50%	MTP · MTP Sep 2025 Series I Case Scenario 2 (Valley Ltd., MCQs 6-10) · 50% SM · Case Scenario Booklet, Case 14 (Valley Ltd.) · 50% SM · SM Ch 15 Budgets, Test Your Knowledge Practical Problem Q3 (K Ltd., production and raw material purchase budget) · 45% + 1 more	Required production = sales + closing - opening stock, as MCQ 1 of Valley Ltd. case; here two products in containers with new figures
MCQ 7 How many kilograms of raw material M will be consumed as per raw material budget? (A) 195 kgs (B) 65 kgs (C) 65.5 kgs (D...	2	Raw material consumption budget (% composition) 15 Budgets and Budgetary Control	MTP	Adapted · 50%	MTP · MTP Sep 2025 Series I Case Scenario 2 (Valley Ltd., MCQs 6-10) · 50% SM · Case Scenario Booklet, Case 14 (Valley Ltd.) · 50% SM · SM Ch 15 Budgets, Test Your Knowledge Practical Problem Q3 (K Ltd., production and raw material purchase budget) · 45% + 1 more	Material requirement per unit of output as in Valley Ltd./K Ltd.; here input given as % mix of a 1-kg container (M = 25% of WM)
MCQ 8 How many kilograms of raw material K will be purchased as per raw material budget? (A) 64 kgs (B) 69 kgs (C) 61 kgs (D) ...	2	Raw material purchase budget (quantity) 15 Budgets and Budgetary Control	MTP	Adapted · 50%	MTP · MTP Sep 2025 Series I Case Scenario 2 (Valley Ltd., MCQs 6-10) · 50% SM · Case Scenario Booklet, Case 14 (Valley Ltd.) · 50% SM · SM Ch 15 Budgets, Test Your Knowledge Practical Problem Q3 (K Ltd., production and raw material purchase budget) · 45% + 1 more	Purchase qty = consumption + closing - opening stock, as MCQ 2 of Valley Ltd. case; new materials and figures

MCQ 9 What is the value of budgeted raw materials purchase (*) during the quarter for WM? (A) 65,112.50 (B) 72,807.50 (C) 72,4...	2	Raw material purchase budget (value) for a product 15 Budgets and Budgetary Control	MTP	Adapted · 50%	MTP · MTP Sep 2025 Series I Case Scenario 2 (Valley Ltd., MCQs 6-10) · 50% SM · Case Scenario Booklet, Case 14 (Valley Ltd.) · 50% SM · SM Ch 15 Budgets, Test Your Knowledge Practical Problem Q3 (K Ltd., production and raw material purchase budget) · 45% + 1 more	Value of purchases at cost per kg, as MCQ 3 of Valley Ltd. case; summed for W and M of product WM
MCQ 10 How many kilograms of WM will be the budgeted production in the quarter? (A) 262 kgs (B) 260 kgs (C) 280 kgs (D) 244 kgs...	2	Production budget (kg) for a product 15 Budgets and Budgetary Control	MTP	Adapted · 50%	MTP · MTP Sep 2025 Series I Case Scenario 2 (Valley Ltd., MCQs 6-10) · 50% SM · Case Scenario Booklet, Case 14 (Valley Ltd.) · 50% SM · SM Ch 15 Budgets, Test Your Knowledge Practical Problem Q3 (K Ltd., production and raw material purchase budget) · 45% + 1 more	Required production of WM = demand + closing - opening, as MCQ 1 of Valley Ltd. case; new figures
MCQ 11 J Ltd. uses process costing and has the following information for the month of August 2026: Particulars Units Beginning ...	2	FIFO equivalent units for conversion cost 10 Process & Operation Costing	Study material	Modified · 80%	SM · SM Ch 10 Process & Operation Costing, Test Your Knowledge Practical Problem Q2 (Hill Manufacturing Ltd.) · 80%	Same problem with all units halved (16,000/1,00,000/92,000/24,000 -> 8,000/50,000/46,000/12,000), same 60%/20% opening and 40% closing conversion; closing material 80% instead of 90%; asks FIFO EU for conversion instead of material
MCQ 12 In a factory, standard time for a job is 72 hours. The hourly-rate of wages is ` 60. Halsey Premium Plan is in operation...	2	Halsey premium plan - time taken from effective hourly rate 3 Employee Cost and Direct Expenses	Past paper	Modified · 60%	PYQ · PYQ Dec 2021 Q1(c)(ii) · 60% RTP · RTP Nov 2023 Q2(ii) · 60%	Same reverse calculation (time in which worker must finish under Halsey 50% to earn a given effective hourly rate); effective rate given directly instead of derived from Rowan; new figures (72 hrs std, Rs 60, Rs 75 -> 48 hrs)
MCQ 13 The following information is available in respect of an item of inventory in a factory that uses FIFO (First In First Ou...	2	FIFO valuation of material issues 2 Material Cost	New	New · 25%	SM · SM Ch 2 Material Cost, FIFO method of pricing issues (Material Received and Issued illustration) · 25%	Standard FIFO stores-ledger computation with new day-wise data; no matching problem found in SM/RTP/MTP/PYQ

MCQ 14 A company sells handcrafted labour-intensive gift items. A certain urgent order at a fixed selling price entailed 200 ov...	2	Treatment of overtime premium (urgent order vs fault of another department) 3 Employee Cost and Direct Expenses	**Study material**	Modified · 70%	SM · SM Ch 3 Employee Cost, Causes of Overtime and Treatment of Overtime premium in cost accounting · 70% PYQ · PYQ May 2022 Q6(c) (treatment of overtime premium in different situations) · 60%	Applies SM rules (customer-driven urgency -> charge to job; overtime due to fault of another department -> charge to that department) to a numerical split of Rs 60,000 premium
MCQ 15 A factory has installed a new machine which has a brochure claiming that it can produce 60,000 units of product X per an...	2	Installed, practical and normal capacity; normal idle capacity 4 Overheads - Absorption Costing Method	**Study material**	Modified · 70%	SM · SM Ch 4 Overheads, para 10 Concepts related to Capacity (installed, practical, normal, idle capacity) · 70% PYQ · PYQ May 2023 Q6(b) (meaning of practical and normal capacity) · 50%	Definitions from SM para 10 applied to numbers (60,000 installed, 50,000 practical, 40,000 normal; normal idle = installed - normal = 20,000)

May 2026

114 marks · Study material 38% · Past paper 32% · RTP 14% · MTP 4% · New 12% · familiar content 62%

QUESTION	MARKS	TOPIC / CHAPTER	SOURCE	SIMILARITY	REFERENCE	WHAT IS THE SAME / CHANGED
Q1(a) XYZ Limited specializes in manufacture of high end office furniture. They use a batch costing system to track production...	5	Batch costing - total cost and selling price per unit 8 Unit & Batch Costing	RTP	Adapted · 45%	RTP · RTP Nov 2022 (old P3) Q7 (PS Ltd., Batch No. PS143) · 45% MTP · Model Test Paper 8 Q1(a) (Interio Ltd., furniture jobs, 25% profit on selling price) · 40%	Same build-up (direct material + dept-wise labour hours x rate + dept-wise hourly overheads, admin OH, profit on selling price) with new data; admin OH here 20% of works cost, profit 25% on SP
Q1(b) EXA Ltd. operates a standard costing system for controlling its material costs and has furnished the following informati...	5	Material and labour variances (actual price from given MPV) 13 Standard Costing	Study material	Adapted · 55%	SM · SM Ch 13 Standard Costing, Test Your Knowledge (Practical Problems) Q6 (Novell & Co.) · 55% MTP · MTP Nov 2022 Series II (old P3) Q2(a) · 45% MTP · MTP Nov 2022 Series I (old P3) Q2(a) · 35%	Same layout (std price, std qty per unit, std labour rate, 2.5 hours per unit, actual wages paid for X hours); new figures and actual price must be back-worked from the given MPV
Q1(c) A manufacturing concern reported a net loss of ` 4,20,000 as per the Cost Accounts for the year ended 31st March, 2026. ...	4	Reconciliation of cost and financial results (loss base) 7 Cost Accounting Systems	Past paper	Adapted · 50%	PYQ · PYQ Dec 2021 (old P3) Q4(b) (R Ltd.) · 50% PYQ · PYQ Sep 2024 Q1(b) (XYZ Ltd.) · 40% RTP · RTP Sep 2024 Q12 · 35%	Same 7-item reconciliation to find the other result (over/under-absorption, stock overvaluation, bad debts, FA-only items); new figures and starts from a costing net loss
Q2(a) The cost particulars of cotton yarn manufactured by a textile mill in April 2026 are as follows: Direct Material: - Cott...	7	Cost sheet - cotton yarn (prime cost to profit) 6 Cost Sheet	New	New · 25%	SM · SM Ch 6 Cost Sheet, Illustration 1 (cost sheet with sales and profit) - format only · 25%	Standard cost sheet format (scrap credit, admin OH related to production, S&D, sales); no earlier problem with this data (skilled/unskilled men per day, hire charges, 160% works OH) found
Q2(b) PQR Ltd is a manufacturing company that operates at 80% capacity, generating a profit of ` 7,50,000 by selling 36000 uni...	7	BEP, cash BEP, capacity and margin of safety for target profit 14 Marginal Costing	New	New · 25%	SM · SM Ch 14 Marginal Costing, para 8.2 Cash Break-even Point, Illustration 1 (concept only) · 20%	Combines semi-variable split, BEP, cash BEP (excluding depreciation) and step-fixed cost beyond 80% capacity; no earlier problem with this structure or data found

Q3(a) Apex Chemicals Ltd. processes a basic chemical raw material in 8 Department I, which yields two joint products, A and B,...	8	Joint products - sales value at split-off and sell-or-process-further decision 11 Joint Products and By Products	Past paper	Adapted · 35%	PYQ · PYQ Jul 2021 (old P3) Q2(b) (OPR Ltd.) · 35% SM · SM Ch 11 Joint Products and By Products, Test Your Knowledge (Practical Problems) Q6 (OPR Ltd.) · 35% SM · Case Scenario Booklet, Case 30 (Sterling Industries, joint products 6:4 with input loss) / RTP May 2025 Q6 · 25%	Same requirement pair (joint cost on sales value at split-off, then incremental revenue vs further-processing cost); new data adds input-output yields, two departments and selling-expense savings
Q3(b) Alpha Limited uses Standard Costing System for manufacturing its single product 'STAR'. The following data has been gath...	6	Fixed overhead variances incl. calendar variance 13 Standard Costing	Study material	Modified · 80%	SM · SM Ch 13 Standard Costing, Test Your Knowledge (Practical Problems) Q12 · 80%	Identical data layout (25 budgeted days, man-hours per day, 1 unit per man-hour, 0.9 actual output per hour); figures changed (12,000/12,500 hrs, 28 days, Rs 6,00,000/6,24,000) and fewer variances asked
Q4(a) ZED Ltd. manufactures two categories of products, Omega and Theta. These products are sold through two primary distribut...	9	Sales budget with price changes, % growth and campaign sales 15 Budgets and Budgetary Control	RTP	Modified · 70%	RTP · RTP Nov 2023 (old P3) Q13 (XY Co. Ltd., products X & Y, East/West divisions) · 70% SM · SM Ch 15 Budgets and Budgetary Control, Test Your Knowledge (Practical Problems) Q1 (B Ltd.) · 70%	Same problem frame (2 products x 2 divisions/channels, budgeted vs actual, price change, % increase over budget, extra units from campaign; prepare sales budget and show budget vs actual); figures changed, price change partly a % cut
Q4(b) The labour turnover rates for the quarter ended 31st March, 2026 are computed as 12%, 6% and 4% under Flux method, Repla...	5	Employee turnover - back-working average workers, joined and left 3 Employee Cost and Direct Expenses	MTP	Modified · 85%	MTP · MTP Nov 2018 Series II (old P3) Q1(c) (RST Company Ltd.) · 85% MTP · MTP Nov 2022 Series II (old P3) Q1(c) (R Ltd.) · 85% PYQ · PYQ May 2022 (old P3) Q1(b) (PQR Limited) · 80% + 2 more	Same three requirements (average on roll, recruited and joined, left and discharged) from given flux/replacement/separation rates and replacements; only rates (12/6/4%) and 54 replacements changed
Q5(a) XYZ Private Limited manufactures two products, Mini and Maxi, utilising the same production methods. The company operate...	10	Traditional absorption vs activity-based costing - sales and profit per product 5 Activity Based Costing	Study material	Adapted · 40%	SM · SM Ch 5 Activity Based Costing, Illustration 3 (ABC Ltd., equipment Y and Z) · 40% SM · Case Scenario Booklet, Case 18 (SunBright Appliances) / MTP Sep 2025 Series II case · 30%	Same traditional-vs-ABC comparison for two products using cost-driver rates; new data, overheads absorbed per unit produced and requirement extended to sales, closing stock and profit

Q5(b) The following information has been furnished by the management accountant of CMC Limited: Margin of Safety 5600 units Br...	4	CVP from margin of safety - profit, P/V ratio, BEP sales, fixed cost 14 Marginal Costing	**Study material**	Modified · 85%	SM · SM Ch 14 Marginal Costing, Test Your Knowledge (Practical Problems) Q11 (Star Ltd.) · 85%	Identical data items (MoS in Rs and units, BE sales units, total cost) and the same four requirements; only figures changed
Q6(a) Which system of inventory management is known as 'Demand Pull' or 'Pull through' system of production? Explain. Also, sp...	5	JIT - demand pull / pull through system and its two principles 2 Material Cost	**Past paper**	Same · 100%	PYQ · PYQ Nov 2022 (old P3) Q6(a) · 100% SM · SM Ch 2 Material Cost, para 6.3 Just In Time (JIT) Inventory Management · 95%	Word-for-word repeat of the Nov 2022 question; answer is the SM JIT paragraph
Q6(b) Distinguish between cost control and cost reduction. (5 Marks)	5	Cost control vs cost reduction 1 Introduction to Cost and Management Accounting	**Past paper**	Same · 100%	PYQ · PYQ May 2024 Q6(a) · 100% PYQ · PYQ May 2019 (old P3) Q6(a) · 100% PYQ · PYQ Dec 2021 (old P3) Q6(e) · 100% + 5 more	Identical wording to PYQ May 2024 Q6(a); repeatedly asked; answer is the SM 2.1 table
Q6(c) A factory employing 3000 workers faces issues of proxy attendance and payroll errors under the manual system. The Plant ...	4	Bio-metric attendance system - features 3 Employee Cost and Direct Expenses	**Study material**	Same · 90%	SM · SM Ch 3, Methods of Time-keeping - 2. Mechanical/Automated Methods (b) Bio-Metric Attendance system · 90%	Answer is the SM paragraph on bio-metric attendance; only a short factory context (3,000 workers, proxy attendance) is added; not asked before in RTP/MTP/PYQ
Q6(c) OR (alternative) Explain the meaning of spoiled work and defective work. Discuss the treatment of defective work under the following circ...	4	Spoiled and defective work - meaning and treatment 9 Job Costing	**Past paper**	Same · 100%	PYQ · PYQ Jan 2025 Q5(c) · 100% MTP · MTP Sep 2025 Series II Q6(c) · 100% SM · SM Ch 9 Job Costing, para 3.4 Treatment of spoiled and defective work · 100%	Same three circumstances and same 1+3 mark split as Jan 2025 Q5(c); only 'define' changed to 'explain'
MCQ 1 What is the Profit of the Core Manufacturing Process? (A) ` 7,50,000 (B) ` 5,25,000 (C) ` 6,00,000 (D) ` 6,75,000 (2 Mar...	2	Profit of Core Manufacturing Process (inter-process profit) 10 Process and Operation Costing	**Past paper**	Modified · 65%	PYQ · PYQ May 2019 (old P3) Q2(b) (KT Ltd., product EMM) · 65% SM · SM Ch 10 Process and Operation Costing, Illustration 6 (A Ltd., product AXE - inter-process profits) · 65% SM · Case Scenario Booklet (frozen foods, 3 processes with inter-process profit) / RTP Jan 2025 case · 40%	Case Scenario I: same frame as SM Ill. 6 / May 2019 Q2(b) (two processes + finished stock, transfer at % profit on transfer price, stock at prime cost, inter-process profit in opening stocks, sales); new figures, 30%/10% margins, direct expenses added, MCQ format; asks Process I profit

MCQ 2 What is the Prime Cost (including Inter Process Profit) of Casing & Shaping Process? (A) ` 53,25,000 (B) ` 44,00,000 (C)...	2	Prime cost of second process incl. inter-process profit 10 Process and Operation Costing	**Past paper**	Modified · 65%	PYQ · PYQ May 2019 (old P3) Q2(b) (KT Ltd., product EMM) · 65% SM · SM Ch 10 Process and Operation Costing, Illustration 6 (A Ltd., product AXE - inter-process profits) · 65% SM · Case Scenario Booklet (frozen foods, 3 processes with inter-process profit) / RTP Jan 2025 case · 40%	Case Scenario I: same frame as SM III. 6 / May 2019 Q2(b) (two processes + finished stock, transfer at % profit on transfer price, stock at prime cost, inter-process profit in opening stocks, sales); new figures, 30%/10% margins, direct expenses added, MCQ format; asks Process II prime cost
MCQ 3 What is the amount of profit included in the closing stock of Casing & Shaping Process? (A) ` 84,000 (B) ` 90,000 (C) ` ...	2	Unrealised profit in closing stock of second process 10 Process and Operation Costing	**Past paper**	Modified · 65%	PYQ · PYQ May 2019 (old P3) Q2(b) (KT Ltd., product EMM) · 65% SM · SM Ch 10 Process and Operation Costing, Illustration 6 (A Ltd., product AXE - inter-process profits) · 65% SM · Case Scenario Booklet (frozen foods, 3 processes with inter-process profit) / RTP Jan 2025 case · 40%	Case Scenario I: same frame as SM III. 6 / May 2019 Q2(b) (two processes + finished stock, transfer at % profit on transfer price, stock at prime cost, inter-process profit in opening stocks, sales); new figures, 30%/10% margins, direct expenses added, MCQ format; asks profit element in closing WIP
MCQ 4 What is the transfer price of pencils (including inter process profit) transferred to Finished Stock account from the Ca...	2	Transfer price to finished stock from second process 10 Process and Operation Costing	**Past paper**	Modified · 65%	PYQ · PYQ May 2019 (old P3) Q2(b) (KT Ltd., product EMM) · 65% SM · SM Ch 10 Process and Operation Costing, Illustration 6 (A Ltd., product AXE - inter-process profits) · 65% SM · Case Scenario Booklet (frozen foods, 3 processes with inter-process profit) / RTP Jan 2025 case · 40%	Case Scenario I: same frame as SM III. 6 / May 2019 Q2(b) (two processes + finished stock, transfer at % profit on transfer price, stock at prime cost, inter-process profit in opening stocks, sales); new figures, 30%/10% margins, direct expenses added, MCQ format; asks Process II transfer price
MCQ 5 What is the amount of total profit realized by Graphite Core Industries on sale of finished stock of pencils which is tr...	2	Total realised profit transferred to Costing P&L 10 Process and Operation Costing	**Past paper**	Modified · 65%	PYQ · PYQ May 2019 (old P3) Q2(b) (KT Ltd., product EMM) · 65% SM · SM Ch 10 Process and Operation Costing, Illustration 6 (A Ltd., product AXE - inter-process profits) · 65% SM · Case Scenario Booklet (frozen foods, 3 processes with inter-process profit) / RTP Jan 2025 case · 40%	Case Scenario I: same frame as SM III. 6 / May 2019 Q2(b) (two processes + finished stock, transfer at % profit on transfer price, stock at prime cost, inter-process profit in opening stocks, sales); new figures, 30%/10% margins, direct expenses added, MCQ format; asks total realised profit

MCQ 6 What is the amount of overheads per month for using the special machine without the aid of Artificial Intelligence (AI) ...	2	Machine overheads per month without AI 4 Overheads - Absorption Costing Method	Study material	Modified · 80%	SM · SM Ch 4 Overheads - Absorption Costing Method, Test Your Knowledge (Practical Problems) Q4 (Gemini Enterprises) · 80% PYQ · PYQ Nov 2022 (old P3) Q2(a) (USP Ltd., motorcycle tyres, robot) · 75%	Case Scenario II: machine hour rate with and without a hired aid (computer/robot -> AI system) for three jobs; job hours 600/900/- without aid kept as SM Q4, with-aid hours 450/550/1000; tyre-maker framing as Nov 2022 Q2(a); cost figures changed; asks monthly overheads without aid
MCQ 7 What is the amount of overheads per month for using the special machine with the aid of Artificial Intelligence (AI) sys...	2	Machine overheads per month with AI 4 Overheads - Absorption Costing Method	Study material	Modified · 80%	SM · SM Ch 4 Overheads - Absorption Costing Method, Test Your Knowledge (Practical Problems) Q4 (Gemini Enterprises) · 80% PYQ · PYQ Nov 2022 (old P3) Q2(a) (USP Ltd., motorcycle tyres, robot) · 75%	Case Scenario II: machine hour rate with and without a hired aid (computer/robot -> AI system) for three jobs; job hours 600/900/- without aid kept as SM Q4, with-aid hours 450/550/1000; tyre-maker framing as Nov 2022 Q2(a); cost figures changed; asks monthly overheads with aid
MCQ 8 What is the machine hour rate for the company as a whole for a month when the Artificial Intelligence (AI) system was us...	2	Machine hour rate (whole) when AI used 4 Overheads - Absorption Costing Method	Study material	Modified · 80%	SM · SM Ch 4 Overheads - Absorption Costing Method, Test Your Knowledge (Practical Problems) Q4 (Gemini Enterprises) · 80% PYQ · PYQ Nov 2022 (old P3) Q2(a) (USP Ltd., motorcycle tyres, robot) · 75%	Case Scenario II: machine hour rate with and without a hired aid (computer/robot -> AI system) for three jobs; job hours 600/900/- without aid kept as SM Q4, with-aid hours 450/550/1000; tyre-maker framing as Nov 2022 Q2(a); cost figures changed; asks MHR with aid
MCQ 9 What is the machine hour rate for the company as a whole for a month when the Artificial Intelligence (AI) was not used?...	2	Machine hour rate (whole) when AI not used 4 Overheads - Absorption Costing Method	Study material	Modified · 80%	SM · SM Ch 4 Overheads - Absorption Costing Method, Test Your Knowledge (Practical Problems) Q4 (Gemini Enterprises) · 80% PYQ · PYQ Nov 2022 (old P3) Q2(a) (USP Ltd., motorcycle tyres, robot) · 75%	Case Scenario II: machine hour rate with and without a hired aid (computer/robot -> AI system) for three jobs; job hours 600/900/- without aid kept as SM Q4, with-aid hours 450/550/1000; tyre-maker framing as Nov 2022 Q2(a); cost figures changed; asks MHR without aid

MCQ 10 What is the machine hour rate for the month in respect of the individual jobs -Belting (B), Extrusion (E) and Vulcanizin...	2	Machine hour rate for individual jobs 4 Overheads - Absorption Costing Method	Study material	Modified · 80%	SM · SM Ch 4 Overheads - Absorption Costing Method, Test Your Knowledge (Practical Problems) Q4 (Gemini Enterprises) · 80% PYQ · PYQ Nov 2022 (old P3) Q2(a) (USP Ltd., motorcycle tyres, robot) · 75%	Case Scenario II: machine hour rate with and without a hired aid (computer/robot -> AI system) for three jobs; job hours 600/900/- without aid kept as SM Q4, with-aid hours 450/550/1000; tyre-maker framing as Nov 2022 Q2(a); cost figures changed; asks job-wise MHR
MCQ 11 The management of Gamma Limited has provided the following information for Product X: Maximum Stock Level 1125 units Re-...	2	Re-order quantity back-worked from maximum stock level 2 Material Cost	RTP	Adapted · 35%	RTP · RTP Nov 2023 (old P3) Q1 (back-working from given ROL/ROQ/max/min levels) · 35% PYQ · PYQ Jan 2025 Q1(c) · 35% SM · SM Ch 2 Material Cost, Maximum Stock Level formula (para on stock levels) · 30%	Same idea of back-solving the maximum stock level formula; earlier sources solve for consumption/lead time, here ROQ is solved; new figures
MCQ 12 The following information pertains to a worker G: Basic Pay ` 25,000 per month Dearness Allowance ` 5,000 per month Othe...	2	Wage rate per hour including holiday pay 3 Employee Cost and Direct Expenses	Study material	Modified · 85%	SM · SM Ch 3 Employee Cost and Direct Expenses, Illustration 13 (para 9.3 Holiday and Leave Wages) · 85%	Same data items (basic pay, DA, other allowances/fringe benefits p.m., working days, days availed as holidays on full pay, 8-hour day); figures changed (325 days, 25 holidays) and MCQ format
MCQ 13 The following information pertains to Job Number 501 undertaken by PCM Limited: Direct Materials ` 60,000 Direct Wages `...	2	Job cost - selling price with overhead recovery rates 9 Job Costing	Past paper	Adapted · 50%	PYQ · PYQ Jan 2026 MCQ 12 (T Ltd., Job 201) · 50% SM · SM Ch 4 Overheads, Illustration 9 part (iii) (selling price of Job 103) · 45% PYQ · PYQ May 2022 (old P3) Q2(a) (reverse calculation of recovery rates, Job 3) · 35%	Same cost build-up (FOH % of wages, admin 25% of factory cost, profit 25% on total cost) as Jan 2026 MCQ 12 but solved forward for selling price instead of backward for FOH %
MCQ 14 AMC Travels is running 4 luxury buses between two cities which are 60 kms. apart. The seating capacity of each bus is 50...	2	Transport costing - cost per passenger-km 12 Service Costing	Study material	Modified · 80%	SM · SM Ch 12 Service Costing, Illustration 2 (AXA Passenger Transport Company) · 80%	Same scenario (n buses between two towns, seating capacity, % occupancy, one round trip per day, 30 days, cost per passenger-km); figures changed and total cost given as one amount

MCQ 15 The following information has been extracted from the records of XYZ Ltd. for two consecutive years: Particulars Year 1 ...	2	BEP sales from two years' sales and profit 14 Marginal Costing	**Past paper**	Modified · 75%	PYQ · PYQ May 2024 Q5(b) (PQR Ltd.) · 75% SM · SM Ch 14 Marginal Costing, Test Your Knowledge (Practical Problems) Q7 · 45%	Same sales figures (Rs 1,80,00,000 and 2,40,00,000) and BEP requirement as May 2024 Q5(b); profits changed (24 L / 42 L) and reduced to one MCQ

Jan 2026

114 marks · Study material 41% · Past paper 30% · RTP 15% · MTP 4% · New 11% · familiar content 59%

QUESTION	MARKS	TOPIC / CHAPTER	SOURCE	SIMILARITY	REFERENCE	WHAT IS THE SAME / CHANGED
Q1(a) ABC Limited manufactures four products A, B, C and D in the same factory. The following information is given for a certa...	5	Packaging cost allocation using yield and box sizes 4 Overheads - Absorption Costing Method	New	New · 0%	No earlier source found	No pre-exam source found; identical problem only appears later as SM May 2027 ed. Ch 2 Test Your Knowledge Q11 (post-exam, not counted).
Q1(b) ECO Cotton Limited manufactures two joint products Cotton Fiber, Cotton Seed and a by-product Cotton Linters by processi...	5	Joint cost apportionment (sales value at split-off, by-product NRV credit) and further-processing decision 11 Joint Products and By Products	RTP	Modified · 70%	RTP · RTP Jan 2025 Q14 · 70%	Same structure as RTP Jan 2025 Q14 (JPBP Ltd: two joint products + by-product sold only after further processing, NRV deducted from joint cost, further processing/marketing costs, profit without processing, incremental decision); new figures and apportionment on sales value at split-off instead of physical units.
Q1(c) Worker 'X' of M/s ABC Manufacturing Ltd, was assigned a Job no 101. He began the job on 1st June at 9:00 A.M. and comple...	4	Halsey and Rowan premium plan earnings 3 Employee Cost and Direct Expenses	Past paper	Modified · 60%	PYQ · PYQ May 2019 Q1(b) · 60% SM · SM Ch 3 Illustrations 6 and 7 (Halsey / Rowan earnings) · 40%	PYQ May 2019 Q1(b) uses the same 40 hrs standard / 30 hrs actual for Halsey and Rowan; exam changes rate (150 vs 75), drops other plans and makes students derive standard time (1,800/45) and time taken from job start/finish times.
Q2(a) Dhol Makers Ltd. sold 6,000 units of a musical instrument "Dholak", The cost data for the year ended 31st March, 2025 is...	9	Cost sheet worked backwards from cost of production (FIFO finished stock) 6 Cost Sheet	Past paper	Adapted · 40%	PYQ · PYQ Nov 2018 Q2(a) · 40% PYQ · PYQ May 2022 Q3(b) · 35%	Backward derivation of raw material consumed as in PYQ Nov 2018 Q2(a) (ZIA Pvt Ltd); cost items (quality control, pollution control & maintenance, lease rent, primary packing) and the six-stage cost sheet follow PYQ May 2022 Q3(b); hire charges per labour hour, FIFO finished stock and new data are new.

Q2(b) A producer of oils purchases 400 litres of oil at ` 75 per litre in containers of 40 litres each. Other expenses at the ...	5	Process account with normal/abnormal loss, container recovery and income statement 10 Process & Operation Costing	New	New · 20%	No earlier source found	No pre-exam source with this oil/container problem; identical problem only appears later as SM May 2027 ed. Ch 10 Test Your Knowledge Q8 (post-exam, not counted).
Q3(a) Gold Drive bank is having a branch which is engaged in processing of 'Gold Loan' and 'Car Loan' applications in addition...	8	Service costing - bank loan application processing cost 12 Service Costing	Past paper	Modified · 65%	PYQ · PYQ Nov 2022 Q1(b) · 65% SM · SM Ch 12 Illustration 13 (home loan application processing) · 40%	Same bank-branch set-up as PYQ Nov 2022 Q1(b) (ABC Bank: Vehicle/Education loans, branch manager, legal, printing, advertising, other expenses, equal processing cost); exam reverses the requirement (find direct professionals' salary), adds quarterly expenses and building depreciation, uses 20%/15% shares and new figures.
Q3(b) Wings Institute of Air-hostess training has reserved a spacious training hall for ` 25,000 on a weekly basis with a seat...	6	Service costing - training institute cost per batch, fee and break-even occupancy 12 Service Costing	Past paper	Modified · 70%	PYQ · PYQ Sep 2024 Q1(a) · 70%	Same structure as PYQ Sep 2024 Q1(a) (Language Achievers: weekly hall rent, honorarium per lecture, travel per day, refreshments per week, admin expenses, cost per batch, minimum fee); exam changes data, adds weekend lectures and asks minimum % batch occupancy at a given fee instead of fee at 80% occupancy.
Q4(a) The following data pertaining to a company engaged in manufacturing and sale of a single product during the year: Partic...	7	Material, labour and variable overhead variances from budget vs actual data 13 Standard Costing	Study material	Adapted · 45%	SM · SM Ch 15 Test Your Knowledge Practical Problem Q6 (TQM Ltd.) · 45%	Like SM Ch 15 TYK Q6, master budget vs actual units, sales, material, wages and VO with standard rates, from which material, labour and VO variances are worked; exam gives actual prices/rates (not actual quantities/hours) so quantities must be derived, all data new.
Q4(b) The following financial information is available for a company with a normal production capacity of 40,000 units for the...	7	Cost sheet with absorption on normal capacity and cost-financial profit reconciliation 7 Cost Accounting Systems	Study material	Modified · 75%	SM · SM Ch 7 Test Your Knowledge Practical Problem Q4 · 75% PYQ · PYQ Jul 2021 Q3(a) · 40%	Same problem as SM Ch 7 TYK Q4 (normal capacity, no stock, DM/DW, factory expenses part fixed, fixed admin, S&D part fixed, interest & dividend income, cost sheet + reconciliation); figures and fixed % changed, admin expenses are unpaid production-related, financial P&L part dropped.

Q5(a) A machine shop has 6 identical drilling machines manned by 4 operators. The machine cannot be worked without an operator…	6	Comprehensive machine hour rate - working back to annual insurance premium 4 Overheads - Absorption Costing Method	Study material	Modified · 65%	SM · SM Ch 4 Test Your Knowledge Practical Problem Q5 · 65%	Same machine-shop problem as SM Ch 4 TYK Q5 (identical drilling machines, operators, absenteeism, leave, idle time, bonus, power, supervision, lighting, annual repairs/depreciation/sundry/general expenses); figures changed and requirement reversed: MHR of Rs 125 given, find annual insurance.
Q5(b) Following data is available for XYZ Ltd. for the month of March 2025: Standard working hours 7 hours per day of 5 days p…	5	Capacity / activity ratios - working back actual and standard hours 15 Budgets and Budgetary Control	Past paper	Modified · 70%	PYQ · PYQ May 2024 Q1(c) · 70% SM · SM Ch 15 Illustration 7 · 40% PYQ · PYQ May 2019 Q1(a) · 40%	Same format as PYQ May 2024 Q1(c) (XYZ Ltd.: std hours/day, days/week, 4 weeks, max and actual employees, two ratios given, find actual hours, standard hours and other ratios); exam gives Actual Capacity Usage and Activity ratios instead of Actual Usage of Budgeted Capacity and Efficiency, new figures.
Q5(c) A company can make any one of the 2 products M or S during the year. It can exercise its option only at the beginning of…	3	Opportunity cost of alternative products 14 Marginal Costing	Study material	Modified · 80%	SM · SM Ch 14 Illustration 10 · 80%	Same wording and layout as SM Ch 14 Illustration 10 (make any one of the products, option at beginning of year, SP, VC, demand, capacity, fixed cost, compute opportunity cost); two products M and S instead of three, new figures.
Q6(a) Classify the following items of expenses by functions and variability: S. Item Function Variability/ No. Behaviour (i) C…	5	Classification of expenses by function and variability 1 Introduction to Cost and Management Accounting	Study material	Adapted · 50%	SM · SM Ch 1 Classification of Costs: 13.2 By Function and 13.3 By Variability or Behaviour · 50% SM · SM Ch 4 Classification of overheads by function (table: delivery van expenses, warehouse expenses, salesmen commission) · 40% RTP · RTP Nov 2022 Q15(a) · 30%	Application of the SM Ch 1 functional and variability classifications (and SM Ch 4 functional overhead table) to five items; no earlier paper asks this exact item list, RTP Nov 2022 Q15(a) is a similar classify-into-table format (direct/indirect, fixed/variable).
Q6(b) Suggest a suitable incentive scheme to a factory for its workers, keeping in view the following: (i) The entire gains of…	5	Suitable incentive scheme (Rowan) for stated management requirements 3 Employee Cost and Direct Expenses	Study material	Same · 95%	SM · SM Ch 3 Illustration 11 · 95%	Word-for-word the three conditions of SM Ch 3 Illustration 11 (answer: Rowan scheme); only the numerical demonstration requirement is dropped.

Q6(c) Discuss the usefulness/suitability of Activity Based Costing. (4 Marks) OR	4	Usefulness/suitability of Activity Based Costing 5 Activity Based Costing	Study material	Same · 100%	SM · SM Ch 5 para 1.2 Usefulness/Suitability of ABC · 100% MTP · Model Test Paper 5 Q2(b) · 100% MTP · Model Test Paper 6 Q5(b) · 100%	Directly from SM Ch 5 heading 1.2 'Usefulness/Suitability of ABC'; asked verbatim in Model Test Papers 5 Q2(b) and 6 Q5(b) (4 marks each).
Q6(c) OR (alternative) Discuss the four components of Budgetary Control System. (4 Marks)	4	Components of Budgetary Control System 15 Budgets and Budgetary Control	Study material	Same · 100%	SM · SM Ch 15 para 5.8 Components of Budgetary Control System (also TYK Theoretical Q2) · 100% PYQ · PYQ Dec 2021 Q6(d) · 90%	Directly from SM Ch 15 heading 5.8 (physical, cost, profit, financial budgets) and TYK Theoretical Q2; earlier asked in PYQ Dec 2021 Q6(d) together with the definition.
MCQ 1 What is the combined contribution-to-sales (C/S) ratio at the exiting sales level? (A) 37.5% (B) 40% (C) 32.5% (D) 45% (...	2	Multi-product CVP: combined C/S ratio at existing mix 14 Marginal Costing	RTP	Modified · 70%	RTP · RTP May 2022 Q12 · 70% SM · SM Ch 14 Test Your Knowledge Practical Problem Q20 (Prisha Ltd.) · 65%	Case Scenario I follows RTP May 2022 Q12 / SM Ch 14 TYK Q20 (three products, discontinue one and replace with a new product, existing vs proposed C/S, profit, BES); exam gives existing sales by product value instead of a mix %, new figures.
MCQ 2 What is the total profit at the existing sales level? (A) ` 18,00,000 (B) ` 32,00,000 (C) ` 36,00,000 (D) ` 16,00,000 (2...	2	Multi-product CVP: profit at existing sales 14 Marginal Costing	RTP	Modified · 70%	RTP · RTP May 2022 Q12(i) · 70% SM · SM Ch 14 Test Your Knowledge Practical Problem Q20 (Prisha Ltd.) · 55%	Profit for existing mix as asked in RTP May 2022 Q12(i); SM TYK Q20 asks only C/S and BES. New figures.
MCQ 3 What is the new contribution-to-sales (C/S) ratio in the proposed situation (with Product W)? (A) 38.5% (B) 35% (C) 47% ...	2	Multi-product CVP: C/S ratio at proposed mix with new product 14 Marginal Costing	RTP	Modified · 70%	RTP · RTP May 2022 Q12(ii) · 70% SM · SM Ch 14 Test Your Knowledge Practical Problem Q20(ii) · 70%	Proposed-mix C/S ratio after replacing a product, as in RTP May 2022 Q12(ii) and SM TYK Q20(ii); new figures.
MCQ 4 What is the break-even sales at the level of proposed sales mix (with Product W)? (A) ` 40,75,000 (B) ` 40,00,000 (C) ` ...	2	Multi-product CVP: break-even sales at proposed mix 14 Marginal Costing	RTP	Modified · 70%	RTP · RTP May 2022 Q12(ii) · 70% SM · SM Ch 14 Test Your Knowledge Practical Problem Q20(ii) · 70%	Break-even sales for proposed mix as in RTP May 2022 Q12(ii)/SM TYK Q20(ii); exam also raises fixed cost in proposal (18.8 lakh vs 18 lakh).
MCQ 5 What is the total profit at the level of proposed sales mix (with Product W)? (A) ` 10,95,000 (B) ` 21,15,000 (C) ` 15,6...	2	Multi-product CVP: profit at proposed mix 14 Marginal Costing	RTP	Modified · 70%	RTP · RTP May 2022 Q12(ii) · 70% SM · SM Ch 14 Test Your Knowledge Practical Problem Q20 (Prisha Ltd.) · 55%	Profit for proposed mix as in RTP May 2022 Q12(ii); new figures.

MCQ 6 What is the annual demand for raw material 'OC' and 'OE'? (A) 1,000 kgs & 400 kgs respectively. (B) 4,000 kgs & 1,600 kg…	2	Annual raw material requirement from market demand and market share 2 Material Cost	MTP	Adapted · 40%	MTP · MTP Nov 2018 Series II Q4(b) · 40% RTP · RTP Nov 2020 Q7 · 40% PYQ · PYQ Jan 2021 Q1(d) · 40% + 1 more	Case Scenario II opening ('manufactures X used by …; total market demand; expected market share %') follows the EBQ problems of MTP Nov 2018 S-II Q4(b), RTP Nov 2020 Q7, PYQ Jan 2021 Q1(d); exam uses quarterly demand and converts to kg of two raw materials.
MCQ 7 What is the Economic Order Quantity (EOQ) in kgs. for raw material 'OE' required by Spice Guard Ltd.? (A) 200 kgs. (B) 5…	2	EOQ with carrying cost built from storage and interest rates 2 Material Cost	Study material	Adapted · 50%	SM · SM Ch 2 Illustration 4 · 50%	Carrying cost built up from storage and interest components as in SM Ch 2 Illustration 4; exam states them per kg per month and per quarter so they must be annualised; new data.
MCQ 8 What is the Economic Order Quantity (EOQ) in kgs. for raw material 'OC' required by Spice Guard Ltd. and number of order…	2	EOQ and number of orders (storage + interest + obsolescence rates) 2 Material Cost	Study material	Modified · 60%	SM · SM Ch 2 Illustration 4 · 60%	Same carrying-cost structure as SM Ch 2 Illustration 4 (storage, interest, obsolescence % per annum of price) plus number of orders (Illustration 3); new figures.
MCQ 9 What is the total annual cost of raw material 'OC' at Economic Order Quantity (EOQ) level? (A) ` 81,20,000 (C) ` 81,00,0…	2	Total annual inventory cost at EOQ 2 Material Cost	Study material	Modified · 60%	SM · SM Ch 2 Illustration 4(i) · 60%	Total cost = purchase + ordering + carrying at EOQ exactly as in SM Ch 2 Illustration 4(i); new figures.
MCQ 10 What is the total annual cost of 'OC,' if the company proposes to keep order size to 200 kgs. of 'OC' per order? (A) ` 8…	2	Total annual inventory cost at a non-EOQ order size 2 Material Cost	Study material	Adapted · 45%	SM · SM Ch 2 Illustration 4 · 45% PYQ · PYQ Jan 2021 Q1(d)(iii) · 35%	Total cost computation of SM Ch 2 Illustration 4 applied to a policy order size of 200 kg (cf. cost at a policy run size in PYQ Jan 2021 Q1(d)(iii)); new data.
MCQ 11 A company's wage budget for the last month was based on a standard production time of 30 minutes per unit and a standard…	2	Labour rate variance - actual wage rate per unit 13 Standard Costing	MTP	Same · 100%	MTP · Model Test Paper 1 Q3 (Part I MCQ) · 100%	Identical to Model Test Paper 1 MCQ 3 (30 minutes/unit, Rs 50/hr, 30,000 units, LRV 7,500 A, LEV nil, same four options); only 'repair time' reworded to 'production time'.

MCQ 12 T Ltd., a textile manufacturing company, recovers factory overheads on a fixed percentage basis on direct wages and admi...	2	Reverse calculation of factory overhead recovery rate on a job 9 Job Costing	Past paper	Adapted · 55%	PYQ · PYQ May 2022 Q2(a) · 55% SM · SM Ch 4 Illustration 9 (Reverse calculation of factory and administrative overheads) · 55%	Same reverse working as PYQ May 2022 Q2(a) / SM Ch 4 Illustration 9 (factory OH % of direct wages, admin OH % of factory cost, profit % on total cost); exam gives one job with admin rate known (25%) so only the factory OH rate is solved; new figures.
MCQ 13 A garment factory stitches each shirt through a single hand sewing machine operator. The sewing time required to stitch ...	2	Labour hours and number of operators required for a production target 3 Employee Cost and Direct Expenses	New	New · 20%	No earlier source found	Simple hours/operators computation (480 dozen x 15 min = 1,440 hrs; 36 operators); no comparable question found in pre-exam SM/RTP/MTP/PYQ.
MCQ 14 In a factory, during the month of October 2025, the following transactions have occurred in respect of purchase and issu...	2	Value of material consumed under LIFO 2 Material Cost	Study material	Adapted · 40%	SM · SM Ch 2 Illustration 13 (Material Exe, FIFO and LIFO) · 40%	Same layout as SM Ch 2 Illustration 13 (opening stock, dated purchases and issues, value consumed under LIFO); exam has one issue and new figures.
MCQ 15 The following information has been given regarding the two machines of a manufacturing department of X Ltd. for the mont...	2	Revised spare parts cost for machine hour rate (price and consumption increase) 4 Overheads - Absorption Costing Method	RTP	Modified · 60%	RTP · RTP Nov 2020 Q3 · 60% MTP · MTP Nov 2018 Series II Q3(b) · 50% MTP · Model Test Paper 2 Q2(a) · 50%	Spare-parts adjustment of the machine-hour-rate problem in RTP Nov 2020 Q3 (spare parts Rs 1,00,000 = 40,000 + 40,000 + 20,000; +15% price; +25% consumption for B & C); exam merges the 60,000 into machine B and asks only this element.

QUESTION BY QUESTION

Sep 2025

114 marks · Study material 61% · Past paper 11% · MTP 13% · New 14% · familiar content 60%

QUESTION	MARKS	TOPIC / CHAPTER	SOURCE	SIMILARITY	REFERENCE	WHAT IS THE SAME / CHANGED
Q1(a) RST Ltd. manufactures a standard line of office desks. The company operates with a monthly manufacturing capacity of 5,0...	5	Selling price from cost of two output levels (semi-variable overhead split) with price changes 8 Unit & Batch Costing	Study material	Modified · 70%	SM · SM (May/Sep 2025 edn) Ch 8 Unit & Batch Costing, Illustration 2 (Atharva Pharmacare) · 70%	Same structure as SM Illustration 2 (output/cost data of consecutive periods, split factory OH into fixed/variable, price at % profit on selling price); here 2 months instead of 3 weeks, new figures, plus 10%/15% input price rise and 20% fixed OH cut.
Q1(b) The following information relates to two workers - Ajoy and Bijoy who are engaged in producing the same product by using...	5	Halsey vs Rowan: find normal wage rate and material cost from equal factory cost 3 Employee Cost and Direct Expenses	MTP	Modified · 85%	MTP · Model Test Paper 4 Q1(c) · 85% SM · SM (May/Sep 2025 edn) Ch 3, Illustration 8 · 65% PYQ · PYQ Nov 2019 (old P3) Q4(a) · 40%	Model Test Paper 4 Q1(c) has identical times (40 std, 32 hrs Halsey 50%, 30 hrs Rowan) and equal factory cost; only OH rate (7.50 -> 360/hr) and factory cost (2,200 -> 1,24,800) changed; SM Illus. 8 is the original method.
Q1(c) MD Limited has furnished following information for the month of August, 2025: Standard Variable Overhead rate ` 3 per ho...	4	Reverse overhead variances: actual hours, actual VOH rate, VOH and FOH cost variance 13 Standard Costing	Past paper	Adapted · 35%	PYQ · PYQ Nov 2023 (old P3) Q5(a) (PQR Alloys) · 35%	Same idea of working back actual hours from a given VOH efficiency variance (PYQ Nov 2023 Q5(a)); otherwise new data and a short 4-part requirement; no matching problem found in SM/RTP/MTP.
Q2(a) XYZ Highway Toll Plaza Limited operates a toll plaza on a 100 km highway and collects tolls from vehicles passing throug...	10	Toll plaza costing: monthly O&M cost and toll rate per vehicle type 12 Service Costing	Study material	Modified · 65%	SM · SM (May/Sep 2025 edn) Ch 12, Illustration 10 (BHG Toll Plaza) · 65% PYQ · PYQ May 2023 (old P3) Q1(d) (RST Toll Plaza) · 35% RTP · RTP Sep 2024 Q16 (BK Infra; also SM Ch 12 TYK) · 30%	Same layout as SM Illus. 10 (shift-wise collection/supervisor/security/manager salaries, electricity, telephone, maintenance, depreciation, vehicles over toll tenure); adds bus/HCV rate multiples (as in PYQ May 2023 Q1(d)), interest and insurance, profit 20% on takings; new figures.

Q2(b) A factory has three production departments, P , P , P and two service 1 2 3 departments S , and S Both the service depar…	4	Secondary distribution: reciprocal services by simultaneous equation method 4 Overheads - Absorption Costing Method	Study material	Modified · 65%	SM · SM (May/Sep 2025 edn) Ch 4, Illustration 3 (Boiler house / Pump room, simultaneous equation method) · 65%	Same format as SM Illus. 3 (only service-department totals and % apportionment given, solve by simultaneous equations); three production departments instead of two and new figures.
Q3(a) A consultancy firm provides project management service in three sectors Technology, Healthcare and Education. The Projec…	8	ABC for a consultancy service firm: cost per project and sector profitability 5 Activity Based Costing	New	New · 25%	No earlier source found	Standard ABC allocation (4 cost pools, drivers, profit % on fees) in a new consulting/software-project setting; no SM, RTP, MTP or PYQ problem with this data or setting found.
Q3(b) SM Limited is the manufacturer of the two products A & B. The following particulars are extracted from the records of th…	6	Optimum product mix with raw material as limiting factor 14 Marginal Costing	New	New · 25%	No earlier source found	Standard key-factor (contribution per kg) ranking with capacity limits; no matching problem in SM, RTP, MTP or PYQ; SM Ch 14 para on limiting factor/Illus. 12 cover the concept only.
Q4(a) SVS Limited manufactures a single product 'Al'. The company has estimated its quarter-wise sales for the next year as fo…	9	Production budget, raw material consumption budget and machine hours incl. maintenance 15 Budgets and Budgetary Control	Study material	Modified · 75%	SM · SM (May/Sep 2025 edn) Ch 15, Illustration 4 · 75%	Same wording and pattern as SM Illus. 4 (80%/20% production pattern, 2 kg per unit) with all quantities scaled x2.4 (30,000->72,000 etc.); purchase budget and FIFO stores ledger parts replaced by a machine-hour/maintenance requirement.
Q4(b) Sundar Limited maintains its Cost Accounting System on the basis of Non-Integral System of Accounting. The following tra…	5	Journal entries in cost books under non-integrated accounting 7 Cost Accounting Systems	Past paper	Adapted · 50%	PYQ · PYQ May 2022 (old P3) Q4(c) · 50% PYQ · PYQ Nov 2019 (old P3) Q6(b) · 40% PYQ · PYQ Jan 2025 Q5(b) · 35% + 1 more	PYQ May 2022 Q4(c) has the same items (direct material issued, FOH over-absorbed, admin OH under-absorbed) but under integrated accounts; this asks non-integrated entries (Cost Ledger Control A/c) as in PYQ Nov 2019 Q6(b) and SM para 2.2; new figures.
Q5(a) TS Limited is suffering from material deterioration and finds that their valuable stocks are not properly stored. The co…	8	ABC analysis: rank materials and plan ABC selective control 2 Material Cost	Study material	Modified · 65%	SM · SM (May/Sep 2025 edn) Ch 2, Illustration 8 (ABC selective control) · 65%	Same requirement and identical value bands (50,000 & above A; 15,000-50,000 B; below 15,000 C) as SM Illus. 8; 8 materials with total cost given instead of 12 items with unit cost, plus a store-keeper narrative.

Q5(b) A company manufactures electronic gadgets and uses a specialized component. The company incurs an ordering cost of ` 1,2...	3	EOQ and number of orders per year 2 Material Cost	**Study material**	Modified · 60%	SM · SM (May/Sep 2025 edn) Ch 2, Illustration 3 · 60%	Same two requirements as SM Illus. 3 (EOQ and number of orders); new data with carrying cost given per unit instead of % of price.
Q5(c) Complete the table regarding accounting entries pertaining to Over/Under 3 absorption of overheads: Absorption of Accoun...	3	Accounting for under/over-absorbed overheads via supplementary rate (complete table) 4 Overheads - Absorption Costing Method	**Study material**	Same · 95%	SM · SM (May/Sep 2025 edn) Ch 4, para 'Treatment of under/over absorption of overheads in cost accounting' (supplementary rate tables) · 95%	The table to be completed is the SM table itself (accounts, Dr/Cr and amount = units x supplementary rate for under- and over-absorption); only rows shuffled.
Q6(a) Define Responsibility Centre and discuss the types of Responsibility Centres. (5 Marks)	5	Responsibility centre: definition and types 1 Introduction to Cost and Management Accounting	**Study material**	Same · 100%	SM · SM (May/Sep 2025 edn) Ch 1, para 11 Responsibility Centres (Types of Responsibility Centres) · 100% MTP · MTP Sep 2025 Series I Q6(a) · 100% MTP · Model Test Paper 4 Q6(a) · 90% + 1 more	Asked points (meaning + cost/revenue/profit/investment centres) are SM Ch 1 para 11; MTP Sep 2025 Series I Q6(a) asked the identical question.
Q6(b) List the advantages of Job Costing. (5 Marks)	5	Advantages of job costing 9 Job Costing	**Study material**	Same · 100%	SM · SM (May/Sep 2025 edn) Ch 9, para 4.2 Advantages and Disadvantages of Job Costing · 100%	Answer is the advantages column of SM Ch 9 para 4.2; not asked in earlier RTP/MTP/PYQ found.
Q6(c) List the important factors which need consideration for controlling employee costs. (4 Marks) OR	4	Factors for controlling employee costs 3 Employee Cost and Direct Expenses	**Study material**	Same · 100%	SM · SM (May/Sep 2025 edn) Ch 3, para 3.1 Important Factors for the Control of Employee Cost · 100%	Wording taken from SM Ch 3 para 3.1 (8 factors: manpower assessment, time-keeping, time & motion study, idle time/overtime, turnover, wage/incentive, job evaluation, productivity).
Q6(c) OR (alternative) Discuss the uses of Bill of Material in the following departments: (i) Marketing (Purchase) Department (ii) Production D...	4	Uses of Bill of Material in departments 2 Material Cost	**Study material**	Same · 100%	SM · SM (May/Sep 2025 edn) Ch 2, para 3.1 Bill of Materials (Uses of Bill of Material) · 100% PYQ · PYQ Dec 2021 (old P3) Q4(c) · 95%	Same four departments as the SM 'Uses of Bill of Material' table; PYQ Dec 2021 Q4(c) asked the same question plus the definition.

MCQ 1 What is the Direct employee (labour) cost? (A) ` 15,21,000 (B) ` 14,67,000 (C) ` 14,62,500 (D) ` 15,29,500 (2 Marks)	2	Cost sheet: direct employee cost 6 Cost Sheet	MTP	Adapted · 40%	MTP · Model Test Paper 3 Part I Q2 (P Ltd. case scenario MCQs (i)-(v)) · 40% RTP · RTP May 2024 Q5 (P Ltd., same data as Model Test Paper 3) · 40% SM · SM (May/Sep 2025 edn) Ch 6, Illustration 3 (Arnav Ispat Udyog) · 40% + 1 more	Case I is a cut-down version of the Arnav Ispat / P Ltd. cost-sheet item list (royalty, power & fuel, repairs P&M vs sales office, insurance, R&D for production process, packing for re-distribution, GM and sales salaries, scrap) with new figures and new twists (RM 15,000 kg @300 + 4% freight, wages 30% of RM consumed, FG stocks from difference/average); asks wages = 30% of RM consumed.
MCQ 2 What is the Prime cost? (A) ` 78,88,000 (B) ` 65,91,600 (C) ` 75,82,600 (D) ` 72,92,000 (2 Marks)	2	Cost sheet: prime cost 6 Cost Sheet	MTP	Adapted · 40%	MTP · Model Test Paper 3 Part I Q2 (P Ltd. case scenario MCQs (i)-(v)) · 40% RTP · RTP May 2024 Q5 (P Ltd., same data as Model Test Paper 3) · 40% SM · SM (May/Sep 2025 edn) Ch 6, Illustration 3 (Arnav Ispat Udyog) · 40% + 1 more	Case I is a cut-down version of the Arnav Ispat / P Ltd. cost-sheet item list (royalty, power & fuel, repairs P&M vs sales office, insurance, R&D for production process, packing for re-distribution, GM and sales salaries, scrap) with new figures and new twists (RM 15,000 kg @300 + 4% freight, wages 30% of RM consumed, FG stocks from difference/average); asks prime cost (also asked in Model Test Paper 3 Q2(i)).
MCQ 3 What is the Factory cost? (A) ` 78,85,520 (B) ` 79,55,120 (C) ` 75,75,650 (D) ` 76,45,840 (2 Marks)	2	Cost sheet: factory cost 6 Cost Sheet	MTP	Adapted · 40%	MTP · Model Test Paper 3 Part I Q2 (P Ltd. case scenario MCQs (i)-(v)) · 40% RTP · RTP May 2024 Q5 (P Ltd., same data as Model Test Paper 3) · 40% SM · SM (May/Sep 2025 edn) Ch 6, Illustration 3 (Arnav Ispat Udyog) · 40% + 1 more	Case I is a cut-down version of the Arnav Ispat / P Ltd. cost-sheet item list (royalty, power & fuel, repairs P&M vs sales office, insurance, R&D for production process, packing for re-distribution, GM and sales salaries, scrap) with new figures and new twists (RM 15,000 kg @300 + 4% freight, wages 30% of RM consumed, FG stocks from difference/average); asks factory cost (also asked in Model Test Paper 3 Q2(iv)).

MCQ 4 What is the cost of goods sold? (A) ` 76,55,520 (B) ` 78,35,850 (C) ` 69,62,920 (D) ` 70,82,500 (2 Marks)	2	Cost sheet: cost of goods sold 6 Cost Sheet	MTP	Adapted · 40%	MTP · Model Test Paper 3 Part I Q2 (P Ltd. case scenario MCQs (i)-(v)) · 40% RTP · RTP May 2024 Q5 (P Ltd., same data as Model Test Paper 3) · 40% SM · SM (May/Sep 2025 edn) Ch 6, Illustration 3 (Arnav Ispat Udyog) · 40% + 1 more	Case I is a cut-down version of the Arnav Ispat / P Ltd. cost-sheet item list (royalty, power & fuel, repairs P&M vs sales office, insurance, R&D for production process, packing for re-distribution, GM and sales salaries, scrap) with new figures and new twists (RM 15,000 kg @300 + 4% freight, wages 30% of RM consumed, FG stocks from difference/average); asks COGS with FG stocks derived from average and difference.
MCQ 5 What is the amount of Profit? (A) ` 12,25,350 (B) ` 11,33,000 (C) ` 10,95,500 (D) ` 11,20,580 (2 Marks)	2	Cost sheet: profit 6 Cost Sheet	MTP	Adapted · 40%	MTP · Model Test Paper 3 Part I Q2 (P Ltd. case scenario MCQs (i)-(v)) · 40% RTP · RTP May 2024 Q5 (P Ltd., same data as Model Test Paper 3) · 40% SM · SM (May/Sep 2025 edn) Ch 6, Illustration 3 (Arnav Ispat Udyog) · 40% + 1 more	Case I is a cut-down version of the Arnav Ispat / P Ltd. cost-sheet item list (royalty, power & fuel, repairs P&M vs sales office, insurance, R&D for production process, packing for re-distribution, GM and sales salaries, scrap) with new figures and new twists (RM 15,000 kg @300 + 4% freight, wages 30% of RM consumed, FG stocks from difference/average); asks profit on sales of 1,10,00,000.
MCQ 6 What is the 'Cost of production' and 'Total Cost' as per Absorption costing? (A) ` 18,28,750 and ` 27,00,000 (B) ` 19,71...	2	Absorption costing: cost of production and total cost 14 Marginal Costing	Study material	Adapted · 40%	SM · SM (May/Sep 2025 edn) Ch 14, Test Your Knowledge Practical Problem 16 (soft drink co. - mineral water subsidiary) · 40% MTP · Model Test Paper 7 Q5(a) (Korean beverage co. - fruit juice) · 35%	Case II is built on the SM TYK Q16 idea (soft drink co. launching mineral water, costs split fixed/variable, break-even) with new data and different asks; asks absorption-costing COP and total cost.
MCQ 7 What is the amount of total variable cost? (A) ` 20,52,000 (B) ` 19,71,250 (C) ` 23,75,000 (D) ` 25,20,000 (2 Marks)	2	Marginal costing: total variable cost 14 Marginal Costing	Study material	Adapted · 40%	SM · SM (May/Sep 2025 edn) Ch 14, Test Your Knowledge Practical Problem 16 (soft drink co. - mineral water subsidiary) · 40% MTP · Model Test Paper 7 Q5(a) (Korean beverage co. - fruit juice) · 35%	Case II is built on the SM TYK Q16 idea (soft drink co. launching mineral water, costs split fixed/variable, break-even) with new data and different asks; asks total variable cost.

MCQ 8 What is the amount of contribution per unit earned at the estimated level of sales? (A) ` 21 (B) ` 18 (C) ` 23 (D) ` 15 ...	2	Marginal costing: contribution per unit 14 Marginal Costing	Study material	Adapted · 40%	SM · SM (May/Sep 2025 edn) Ch 14, Test Your Knowledge Practical Problem 16 (soft drink co. - mineral water subsidiary) · 40% MTP · Model Test Paper 7 Q5(a) (Korean beverage co. - fruit juice) · 35%	Case II is built on the SM TYK Q16 idea (soft drink co. launching mineral water, costs split fixed/variable, break-even) with new data and different asks; asks contribution per unit.
MCQ 9 What is the Break-even Sales (in Rupees)? (A) ` 32,50,000 (B) ` 23,69,000 (C) ` 16,33,000 (D) ` 19,50,000 (2 Marks)	2	Marginal costing: break-even sales 14 Marginal Costing	Study material	Adapted · 40%	SM · SM (May/Sep 2025 edn) Ch 14, Test Your Knowledge Practical Problem 16 (soft drink co. - mineral water subsidiary) · 40% MTP · Model Test Paper 7 Q5(a) (Korean beverage co. - fruit juice) · 35%	Case II is built on the SM TYK Q16 idea (soft drink co. launching mineral water, costs split fixed/variable, break-even) with new data and different asks; asks BES in rupees (SM TYK Q16(ii) also asks BEP in rupees).
MCQ 10 What will be the profit if the actual sales are 10% less than the estimated sales? (A) ` 1,15,200 (B) ` 1,62,000 (C) ` 1...	2	Marginal costing: profit if sales fall 10% 14 Marginal Costing	Study material	Adapted · 40%	SM · SM (May/Sep 2025 edn) Ch 14, Test Your Knowledge Practical Problem 16 (soft drink co. - mineral water subsidiary) · 40% MTP · Model Test Paper 7 Q5(a) (Korean beverage co. - fruit juice) · 35%	Case II is built on the SM TYK Q16 idea (soft drink co. launching mineral water, costs split fixed/variable, break-even) with new data and different asks; asks profit at 90% of estimated sales.
MCQ 11 The Cost Accountant of AQ Limited has provided the following information for investigation of variances: Material Cost V...	2	Working back MPV and mix variance from MCV, MUV and yield variance 13 Standard Costing	New	New · 20%	No earlier source found	Uses only the variance relationships (MCV = MPV + MUV; MUV = MMV + MYV); no SM/RTP/MTP/PYQ question with this data or format found.
MCQ 12 A company produces two joint products X and Y, using the same type of material. The cost data to produce 200 units of pr...	2	Joint products: fixed OH ratio under contribution margin method 11 Joint Products and By Products	Past paper	Adapted · 55%	PYQ · PYQ May 2024 Q1(b) · 55% SM · SM (May/Sep 2025 edn) Ch 11, Illustration 3 · 50% PYQ · PYQ Nov 2019 (old P3) Q1(c) · 45%	Same set-up as PYQ May 2024 Q1(b) (material, labour, fixed OH, two products produced in 1:2 ratio, contribution margin method); new figures, no variable OH or further-processing part, asks only the fixed OH ratio.
MCQ 13 The management of Y Limited has provided the following information: Opening stock of raw material - ` 25,000 Closing sto...	2	Number of days average inventory is held 2 Material Cost	Past paper	Modified · 60%	PYQ · PYQ Dec 2021 (old P3) Q1(a) · 60% SM · SM (May/Sep 2025 edn) Ch 2, Illustration 10 · 60%	Same requirement (days for which average inventory is held, 360-day year as in PYQ Dec 2021 Q1(a)); consumption given directly instead of purchases; new figures.

MCQ 14 A product passes through Process-I and Process-II. Materials issued to Process-1 amounted to ` 1,60,000. Wages ` 70,000 ...	2	Process account: value transferred with normal loss (scrap value) and abnormal loss 10 Process & Operation Costing	**Study material**	Modified · 80%	SM · SM (May/Sep 2025 edn) Ch 10, para 3.1(ii) Abnormal Process Loss, Example-3 (Abnormal loss with realisable value) · 80%	Wording copied from SM Example-3 (product passes Process-I and II, normal loss % of input, no opening stock, scrap value per unit); figures changed (10,000 units, 6%, 9,200 output, scrap 10) and only the value transferred is asked.
MCQ 15 PMP Limited manufactures a single product and absorbs the production overheads at a pre-determined rate of ` 20 per mach...	2	Under-absorbed overheads (excluding obsolete stores and strike wages) charged to cost of sales 4 Overheads - Absorption Costing Method	**Study material**	Modified · 75%	SM · SM (May/Sep 2025 edn) Ch 4, Test Your Knowledge Practical Problem 11 (ABC Ltd.) · 75% PYQ · PYQ May 2024 Q4(b) · 55%	Same as SM TYK Q11 (pre-determined machine-hour rate; actual OH includes written-off obsolete stores and strike-period wages under an award; 20,000 produced, 18,000 sold); new figures, no WIP, asks only the share charged to cost of sales.

QUESTION BY QUESTION

May 2025

114 marks · Study material 58% · Past paper 4% · RTP 9% · MTP 15% · New 15% · familiar content 56%

QUESTION	MARKS	TOPIC / CHAPTER	SOURCE	SIMILARITY	REFERENCE	WHAT IS THE SAME / CHANGED
Q1(a) Axion Industries is a heavy industrial gear manufacturing company with a manufacturing setup based in Pune. Mr. Andrew, ...	5	CVP - units to maintain same profit per unit after wage/overhead changes 14 Marginal Costing	Study material	Adapted · 30%	SM · SM Ch 14 Marginal Costing, Test Your Knowledge Practical Problem Q12(ii) · 30%	Same idea as TYK Q12(ii) (cost increases next year; find units to earn same profit) but new company data and per-unit profit target; no closer source in SM/RTP/MTP/PYQ
Q1(b) Aroma Park Ltd. Produces two perfumes named Floral, Oriental, and one Cologne, all created through a joint production pr...	5	Joint products - profit statement and NRV apportionment 11 Joint Products and By Products	New	New · 25%	SM · SM Ch 11 Joint Products and By Products, Test Your Knowledge Practical Problem Q5(i) · 20%	Standard NRV apportionment; perfume data and the 'largest-volume product at a loss' framing not found in any earlier source
Q1(c) Following information is given of a newly setup organization for the year ended on 31st March, 2025: Number of workers r...	4	Employee turnover - replacement and flux methods (reverse from separation rate) 3 Employee Cost and Direct Expenses	Past paper	Modified · 70%	PYQ · PYQ Jul 2021 Q2(c) · 70% SM · SM Ch 3 Employee Cost, Illustration 14 · 40%	Same wording as Jul 2021 Q2(c) (newly set-up organisation, workers replaced / left and discharged); figures changed (78, 28) and average workforce must be derived from given 3.5% separation rate, as in Illustration 14's reverse working
Q2(a) Kidz Company manufactures and sells two models of baby toys namely, Max and Pro. During the Financial Year 2024-25, 1,50...	7	Cost sheet for two models with labour cost split by per-unit ratio; selling price at 20% on sales 6 Cost Sheet	RTP	Adapted · 40%	RTP · RTP Jan 2025 Q11 · 40%	Same device as RTP Jan 2025 Q11 (two products, total wages split using a per-unit ratio, units produced vs sold) but new data, both models costed, and selling price at 20% profit on sales

Q2(b) A plastic manufacturing company is operating with an employment of 128 skilled workers. The product is in great demand. ...	7	Halsey vs Rowan incentive schemes - effective earnings, efficiency, savings, advice 3 Employee Cost and Direct Expenses	Study material	Modified · 75%	SM · SM Ch 3 Employee Cost, Test Your Knowledge Practical Problem Q1 · 75% PYQ · PYQ Jan 2021 Q2(a) · 70% MTP · Model Test Paper 7 Q1(c) · 75%	Same scenario wording (skilled workers, Halsey 50% vs Rowan, assurance of % increase in earnings); figures changed (128 workers, Rs 30, 2.5 hrs, 12,500 units, 15%) and an added requirement on increase in labour efficiency
Q3(a) Meri Chai Teri Chai Ltd., is engaged in manufacturing three products: - Ginger Chai - Masala Chai - Saffron Chai It calc...	8	ABC - cost allocation at capacity rates and cost of unused capacity 5 Activity Based Costing	Study material	Modified · 65%	SM · SM Ch 5 Activity Based Costing, Illustration 2 · 65% PYQ · PYQ Jul 2021 Q3(b) · 60% MTP · Model Test Paper 2 Q3(b) · 65%	Same requirements (costs allocated per activity using capacity-based rates; cost of unused capacity) as Illustration 2; expanded to four activities (set-ups, machine hours, inspections, packings) with new data
Q3(b) Max Cinemas has three types of seats – Classic, Prime & Recliner where the total capacity is 306 seats, which are divide...	6	Service costing - equivalent seats and ticket pricing for a cinema 12 Service Costing	Study material	Adapted · 45%	SM · SM Ch 12 Service Costing, Illustration 6 · 45%	Same technique as Illustration 6 (holiday home: three room types with occupancy %, tariff as multiples, convert to equivalent single rooms and price with profit on takings) applied to cinema seats with new data
Q4(a) NT Ltd. showed a net loss of ` 9,000 as per their cost accounts for the year ended 31-03-2025. However, the financial bo...	8	Reconciliation of cost and financial profit; balancing excess material consumption 7 Cost Accounting Systems	Study material	Adapted · 35%	SM · SM Ch 7 Cost Accounting Systems, Test Your Knowledge Practical Problem Q5 · 35% RTP · RTP Sep 2024 Q12 · 35% PYQ · PYQ May 2024 Q3(b) · 30%	Standard reconciliation items (O/H under/over absorbed, depreciation charged vs recovered, dividend, interest) from net loss per cost accounts as base; new data, closing stock at cost vs market, and the twist of finding excess material consumption as the balancing figure
Q4(b) A manufacturing unit using Standard costing system and the following information was obtained from its records: Standard...	6	Overhead variances incl. fixed overhead calendar variance 13 Standard Costing	Study material	Modified · 75%	SM · SM Ch 13 Standard Costing, Illustration 13 · 75%	Same layout (Standard vs Actual: production, working days, fixed and variable overhead) and variances incl. calendar variance; figures changed and machine hours dropped (so no efficiency/capacity split)

Q5(a) Furniture Wala Ltd., a manufacturer of dining tables, procures wood as its direct material. The dining tables are initia...	4	Process costing - equivalent units, cost per EU, closing WIP and transfer 10 Process & Operation Costing	Study material	Modified · 90%	SM · SM Ch 10 Process & Operation Costing, Test Your Knowledge Practical Problem Q1 · 90%	Same problem (cricket bats Forming/Finishing -> dining tables Moulding/Laminating); all figures scaled x3.5 (10,000->35,000 units; Rs 33,000/17,000 -> 1,15,500/59,500); 25% conversion on WIP and requirements identical
Q5(b) Distinguish between "job costing and batch costing". (3 Marks)	3	Difference between job costing and batch costing 8 Unit & Batch Costing	RTP	Same · 100%	RTP · RTP May 2023 (old P3) Q15(b) · 100% SM · SM Ch 8 Unit & Batch Costing, para 7 'Difference between Job and Batch Costing' · 100% PYQ · PYQ Sep 2024 Q6(c) (OR) · 90% + 1 more	Directly answered by the SM table 'Difference between Job and Batch Costing'; asked earlier in RTP May 2023, Sep 2024 exam and Model Test Paper 8
Q5(c) A reputed engineering college in Pune has 20 sections with 60 students per section. The college plans a one day pleasure...	7	Flexible budget for college trip at different student levels; average cost per student 15 Budgets and Budgetary Control	MTP	Modified · 65%	MTP · Model Test Paper 2 Q3(a) · 65%	Same scenario as Model Test Paper 2 Q3(a) (school picnic: buses with reserved teacher seats, teacher allowance, meals, zoo fee, block entrance fee, prizes; flexible budget and average cost per student); figures, levels and stepped block-fee/prize slabs changed, break-even part dropped
Q6(a) In the following independent situations, identify the type of cost and state whether it is relevant/non-relevant in mana...	5	Identify cost type (opportunity, sunk/committed, incremental etc.) and relevance in decisions 1 Introduction to Cost and Management Accounting	Study material	Adapted · 45%	SM · SM Ch 14 Marginal Costing, para 13.2 'Principles for Identification of Cost and Benefits for Measurement' (table analysing relevance of historical, sunk, committed, opportunity, notional and shut-down costs) · 45% SM · SM Ch 1 Introduction, Classification of costs for managerial decision making (opportunity, sunk, imputed, incremental costs) · 40%	Concepts and relevance verdicts come from the SM relevance table and Ch 1 cost classification; the five situations (own office space vs Rs 30,000 rent, closed factory rent, market research fee, sales incentive, FD interest forgone) are new

Q6(b) Cosmos Limited uses activity based costing and accumulates overhead costs in the following cost pools: (1) Human Resourc…	5	ABC cost hierarchy - classify cost pools as unit/batch/product/facility level 5 Activity Based Costing	Study material	Same · 90%	SM · SM Ch 5 Activity Based Costing, para 6 'Level of Activities under ABC Methodology / Cost Hierarchy' · 90%	Direct application of the SM cost hierarchy table, which itself lists maintenance of buildings and plant security (facility), machine set-up and material ordering (batch), designing the product (product); other pools are new examples
Q6(c) Describe briefly the methods for valuation of work-in-process followed in Process Costing. (4 Marks) OR	4	Methods of valuation of WIP in process costing (FIFO, weighted average) 10 Process & Operation Costing	Study material	Same · 100%	SM · SM Ch 10 Process & Operation Costing, para 6 'Process Costing Methods' (FIFO and Weighted Average); also TYK Theoretical Q1 · 100%	Suggested answer reproduces SM para 6 ('Mainly two methods for valuation of work-in-process are followed: FIFO, Weighted Average')
Q6(c) OR (alternative) Contemplate the list of functions given below and identify each one of them with the most relevant scope of Cost Account…	4	Scope of cost accounting - match functions to cost control, cost analysis, cost comparison etc. 1 Introduction to Cost and Management Accounting	Study material	Same · 95%	SM · SM Ch 1 Introduction, para 3 'Scope of Cost Accounting' · 95%	Each statement is lifted verbatim from SM para 3 (cost control: detailed examination of each cost; cost comparisons: alternative courses of action; cost analysis: factors responsible for variance); only the identification format is new
MCQ 1 At what quantity of purchase of batteries, the ordering costs will be equal to the inventory carrying costs? (A) 1,600 (…	2	EOQ (ordering cost = carrying cost) 2 Material Cost	New	New · 20%	No earlier source found	Case Scenario I (Skylark batteries: 4,500/month, Rs 800, Rs 9,000/order, 37.5% carrying, probabilistic delivery time) not found in any earlier SM/RTP/MTP/PYQ; plain EOQ computation
MCQ 2 What will be the total annual cost of purchases as per the quantity calculated in Q-1 above? (A) ` 3,84,80,000 (B) ` 4,3…	2	Total annual cost (purchase + ordering + carrying) at EOQ 2 Material Cost	New	New · 20%	No earlier source found	Standard EOQ total-cost computation on the new Case Scenario I data
MCQ 3 Assuming that the company is willing to take a 15% risk of being out of stock, what would be the safety stock and the Re…	2	Safety stock and re-order point from lead-time distribution (15% stock-out risk) 2 Material Cost	New	New · 20%	SM · SM Ch 2 Material Cost, Illustration 7 (optimum safety stock using stock-out probabilities) · 20%	Setting safety stock from a delivery-time frequency table at an accepted stock-out risk is not in any earlier source; Illustration 7 uses probabilities but with stock-out costs

MCQ 4 Assuming that the company is willing to take a 5% risk of being out of stock what would be the safety stock and Re-order…	2	Safety stock and re-order point at 5% stock-out risk 2 Material Cost	New	New · 20%	SM · SM Ch 2 Material Cost, Illustration 7 · 20%	Same new Case Scenario I; only the risk level changes from Q3
MCQ 5 Assuming 5% risk of out of stock what would be the total cost of ordering and carrying inventory for one year? (A) ` 5,4…	2	Total ordering + carrying cost including safety stock 2 Material Cost	New	New · 20%	No earlier source found	Annual ordering cost plus carrying cost on (half of order qty + safety stock) for new Case Scenario I; no earlier source
MCQ 6 The minimum number of units of SS304 & SS316, the company shall produce to justify the sales forecast would be: (A) 56,0…	2	Production budget with FG stock increase and post-production rejection 15 Budgets and Budgetary Control	MTP	Modified · 75%	MTP · Model Test Paper 1 Q1(a)(i) · 75%	Case Scenario II (Allure Metallurgy SS304/SS316) mirrors Model Test Paper 1 Q1 (P Ltd products X/Y, raw material Z): same table layout (sales, FG stock increase, post-production rejection %, usage net of wastage, wastage %); figures changed
MCQ 7 The ratio in which the raw material utilized for SS304 & SS316 from the total quantity of raw material procured, to prod…	2	Raw material requirement split (% per product) after wastage 15 Budgets and Budgetary Control	MTP	Modified · 60%	MTP · Model Test Paper 1 Q1(b) · 60%	Material requirement grossed up for wastage as in the MTP purchases budget; asked as a % mix instead of a full purchases budget
MCQ 8 Assuming that all the available 1200 tons of raw material is procured per annum and would be utilized for production, wh…	2	Allocating capped raw material (1,200 tons) to SS304 in same mix 15 Budgets and Budgetary Control	MTP	Modified · 60%	MTP · Model Test Paper 1 Q1(c) · 60%	Same supply-limit idea as MTP Q1(c) (sole supplier limit; keep production mix); limit here is an annual 1,200 tons instead of 4,000 kg per lot
MCQ 9 Assuming that all the available 1200 tons of raw material is procured per annum and would be utilized for production, wh…	2	Allocating capped raw material to SS316 in same mix 15 Budgets and Budgetary Control	MTP	Modified · 60%	MTP · Model Test Paper 1 Q1(c) · 60%	Mirror of Q8 for the second product
MCQ 10 Keeping the management purchase policy & production quantity mix in consideration for SS304 & SS316, the maximum number …	2	Maximum units producible under raw-material supply limit keeping mix 15 Budgets and Budgetary Control	MTP	Modified · 70%	MTP · Model Test Paper 1 Q1(c) · 70%	Same requirement as MTP Q1(c) ('keeping the management purchase policy and production quantity mix … maximum number of units'); new data

MCQ 11 Healthy & Fit Ltd. manufactures & sells a single product captioned as 'Exercise bikes'. The estimated units to be sold i...	2	Production budget and component (pedals) purchase requirement 15 Budgets and Budgetary Control	**Study material**	Adapted · 40%	SM · SM Ch 15 Budgets, Test Your Knowledge Practical Problem Q7 · 40%	Closing FG stock as % of next month's sales, as in TYK Q7 (Jigyasa Ltd, 25%); new data and a twist converting production into 2 pedals per unit
MCQ 12 A company which operates a batch costing system is fully integrated with the financial accounts. During a particular per...	2	Integrated accounts - accounts debited on issue of materials to production and factory maintenance 7 Cost Accounting Systems	**Study material**	Adapted · 50%	SM · SM Ch 7 Cost Accounting Systems, Illustration 4 · 50%	Wording from Illustration 4 ('batch costing system fully integrated with the financial accounts', materials issued to production Rs 30,000 and factory maintenance); MCQ asks only which accounts are debited (WIP and production overhead control)
MCQ 13 A Lorry starts with a load of 15 tons of goods from Station 'X'. It unloads 5 tons in Station 'Y' and balance goods in S...	2	Absolute and commercial tonne-km 12 Service Costing	**Study material**	Modified · 85%	SM · SM Ch 12 Service Costing, Illustration 1 · 85%	Same lorry problem (load from first station, partial unload at second, balance at third, return load from third); figures changed (15/5/8 tons; 50/60/80 km vs 20/8/16 MT; 80/120/160 km)
MCQ 14 A company forecasts its labour costs and material cost to go up by 12% and 8% respectively per unit in the next financia...	2	Selling price increase to maintain P/V ratio after material and labour cost rise 14 Marginal Costing	**Study material**	Adapted · 35%	SM · SM Ch 14 Marginal Costing, Test Your Knowledge Practical Problem Q12(i) · 35%	Same concept as TYK Q12(i) (find selling price to earn same P/V ratio after variable cost goes up); new structure with material:labour ratio 5:3 and separate % increases
MCQ 15 A spice is passed through two processes and the output of Process I-Grinding, transferred to Process II-Packaging. The i...	2	Normal loss % and value of abnormal gain in process account 10 Process & Operation Costing	**New**	New · 25%	SM · SM Ch 10 Process & Operation Costing, Test Your Knowledge MCQ 3 · 25%	Standard abnormal-gain valuation with scrap value; working back the normal loss % from output and abnormal gain is not in any earlier source

How this was done

- Questions are from ICAI’s suggested answers for each attempt. Sources: three editions of the ICAI study material and its Booklet on Case Scenarios; RTPs (new Paper 4 May 2024–Sep 2026, old Paper 3 Nov 2020 and May 2022–Nov 2023); MTPs (May 2025, Sep 2025, Nov 2018, Nov 2022, May 2023) and ICAI’s Model Test Papers 1–8; question papers Nov 2018–Jan 2026.
- Only material published before each exam counts. Two Jan 2026 questions (Q1(a), Q2(b)) were later added to the May 2027 study material, so they are marked new for Jan 2026.
- Every reference was checked by reading the question against the source text; a computer match of figures and wording only suggested where to look.
- Each question is filed under its closest source; where two were equally close, the earlier one. Other sources are listed beside it.
- Not available: ICAI’s MTPs for May 2024, Sep 2024, Jan 2025, Jan 2026, May 2026 and Sep 2026 (behind the student login) and some RTPs from 2018–2021 (no longer on ICAI’s site). A few questions marked new may come from these.
- Marks: all questions set, including the optional ones (Q2–Q6, of which students answer four); an OR alternative is listed but not counted. Sep 2026 Q5 totals 12 marks as printed.

Source: ICAI question papers, suggested answers, study material, RTPs and MTPs (www.icai.org).